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INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT

INTERNATIONAL FINANCE CORPORATION

AND MULTILATERAL INVESTMENT GUARANTEE AGENCY

**PERFORMANCE AND LEARNING REVIEW
OF THE COUNTRY PARTNERSHIP FRAMEWORK**

FOR

THE UNITED MEXICAN STATES

FOR THE PERIOD FY2020-FY2025

March 12, 2024

**Mexico, Colombia, and Venezuela Country Management Unit
Latin America and the Caribbean Region**

**The International Finance Corporation
Latin America and the Caribbean Region**

The Multilateral Investment Guarantee Agency

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The date of the last Country Partnership Framework was February 27, 2020 (Report No. 137429-MX)

GOVERNMENT FISCAL YEAR

January 1 – December 31

CURRENCY EQUIVALENTS

[Exchange rate as of March 12, 2024]

US\$1.00 = 16.79 MXN

US\$0.06 = 1.00 MXN

ABBREVIATIONS AND ACRONYMS

ASA	Advisory Services and Analytics
Become	Banco Nacional de Comercio Exterior S.N.C. (<i>National Bank for International Trade</i>)
BANOBRAS	Banco Nacional de Obras y Servicios Públicos, S.N.C. (<i>National Bank of Public Works and Services</i>)
CCB	Climate Co-Benefits
CEM	Country Economic Memorandum
CFE	Comisión Federal de Electricidad (<i>Federal Electricity Commission</i>)
CnC	Collaboration and Co-Development
CONAMER	Comisión Nacional de Mejora Regulatoria (<i>Commission on Regulatory Improvement</i>)
COVID-19	Coronavirus Pandemic
CPF	Country Partnership Framework
DPF	Development Policy Financing
ESF	Environmental and Social Framework
ESG	Environmental, Social, and Governance
FDI	Foreign Direct Investment
FONADIN	Fondo Nacional de Infraestructura (<i>National Infrastructure Fund</i>)
FY	Fiscal Year
GEF	Global Environmental Facility
GDI	Graduation Discussion Income
GDP	Gross Domestic Product
GHG	Greenhouse Gas
IDB	Inter-American Development Bank
IBRD	International Bank for Reconstruction and Development
ICR	Implementation Completion and Results Report
IEG	Independent Evaluation Group
IFC	International Finance Corporation
IMF	International Monetary Fund
INSP	Instituto Nacional de Salud Pública (<i>National Institute of Public Health</i>)
IPF	Investment Policy Financing
ISR	Implementation Status and Results Report
LAC	Latin America and the Caribbean
MIGA	Multilateral Investment Guarantee Agency

MSME	Micro, Small, and Medium Enterprise
NBFI	Non-Banking Financial Institutions
NDC	National Determined Contribution
NDP	National Development Plan
PEMEX	Petróleos Mexicanos
PLR	Performance and Learning Review
PPP	Public-Private Partnership
RAS	Reimbursable Advisory Services
SCD	Systematic Country Diagnostic
SDG	Sustainable Development Goals
SHCP	Secretariat of Finance and Public Credit
SME	Small and Medium Enterprise
SNE	Servicio Nacional de Empleo (<i>National Employment Service</i>)
WBG	World Bank Group

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**PERFORMANCE AND LEARNING REVIEW OF THE COUNTRY PARTNERSHIP FRAMEWORK FOR THE UNITED
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I. INTRODUCTION

1. **This Performance and Learning Review (PLR) assesses the implementation of the World Bank Group FY20-25 Country Partnership Framework (CPF) for the United Mexican States.**¹ The CPF was discussed by the Board on February 27, 2020, at the outset of the COVID-19 pandemic. Covering six years, it aims to support three interlinked goals: (a) more rapid, more inclusive growth; (b) stronger institutions for public finance, service delivery, and economic inclusion; and (c) sustainable infrastructure and climate action.
2. **The objectives of this PLR are to assess progress in CPF implementation and propose adjustments for the remainder of the CPF period.** The PLR has been prepared in 2023 at the mid-point of the CPF period, and benefits from updated knowledge about country context, program implementation, and lessons learned. It also suggests forward-looking changes to the results framework, implementation, and risk management. The PLR will inform the engagement with the new government to be elected in June 2024, the Completion and Learning Review (CLR) in FY25, and a new CPF planned for FY26.
3. **Immediately after CPF discussion, global and domestic crises hit Mexico, shifting demand for World Bank collaboration, and affecting CPF implementation and graduation prospects.** The COVID-19 pandemic resulted in a dramatic economic contraction of 8 percent of Gross Domestic Product (GDP) in 2020,² compounded by a global recession and the economic fallout from Russia's invasion of Ukraine. Although Mexico continued to access external capital markets on reasonable terms, crisis management altered priorities and affected reforms. This undermined CPF implementation and Mexico's graduation from the International Bank for Reconstruction and Development (IBRD).³ A shift in client demand for World Bank support led to a large increase in countercyclical IBRD policy financing versus the previous CPF period at the expense of a fall in demand for investment lending. Several Investment Policy Financing (IPF) operations were canceled or restructured at client request. The World Bank's analytical engagement helped maintain collaboration through several high-impact reports, which supported the policy content of the Development Policy Financing (DPF) program. Nevertheless, as a result of these two fundamental global and domestic shifts, out of the 24 CPF objective indicators, eight have been achieved, one partially achieved, five are on track, and ten are off track, five of which are unlikely to be achieved.⁴
4. **This PLR confirms the original strategic direction and the duration of the 2020 CPF but proposes adjustments to its objectives and results framework in light of these dual shifts.** The PLR confirms the three CPF Focus Areas⁵ but reduces the number of objectives from seven to six. The changes to the results framework reflect current reform space, client demand, and implementation capacity. The PLR also raises the overall risk rating from "Moderate" to "Substantial." The adjustments proposed in the PLR are aligned with World Bank reforms currently under discussion, notably the Evolution Roadmap, which includes an elevated strategic role for middle-income countries on the global challenges agenda.⁶ The PLR thus summarizes what the World Bank is doing in selected global challenges, particularly those addressed more directly in Focus Area C (Climate Change Adaptation and Mitigation; Energy Access; and Water Security and Access) and identifies further opportunities for one World Bank Group (WBG) collaboration, through coordination and deployment of collective knowledge and complementary instruments for greater impact.

¹ Country Partnership Framework, World Bank Report No. 137429-MX.

² National Statistics Institute (INEGI)'s monthly employment survey (ENOE) by July 2020.

³ During preparation, the Graduation Discussion Income (GDI) provided a strong filter for the selection of the activities in the CPF.

⁴ These terms are defined in Section III. Summary of Program Implementation and Annex 3.

⁵ World Bank, "Mexico Systematic Country Diagnostic," August 2019.

⁶ World Bank, "Evolving the World Bank Group's Mission, Operations, and Resources: A Roadmap," December 2022, "Ending Poverty on a Livable Planet: Report to Governors on World Bank Evolution," September 2023, including the eight global challenges: (i) Climate Change Adaptation and Mitigation; (ii) Fragility and Conflict; (iii) Pandemic Prevention and Preparedness; (iv) Energy Access; (v) Food and Nutrition Security; (vi) Water Security and Access; (vii) Enabling Digitalization; and (viii) Protecting Biodiversity and Nature.

II. MAIN CHANGES IN COUNTRY CONTEXT

5. **The CPF was prepared shortly after the current administration assumed power and is aligned with the National Development Plan.** President Andrés Manuel López Obrador assumed power in December 2018 and CPF preparation was completed in 2019. The government consolidated its support in the mid-term elections held in June 2021 and local elections in June 2023. Ahead of the next presidential elections in June 2024, the World Bank is preparing its transition engagement,⁷ which the PLR will inform.

6. **Immediately after the CPF discussion in 2020, the global COVID-19 pandemic hit.** Latin America and the Caribbean (LAC) was the hardest hit region of the world in both health and economic terms. In Mexico, the pandemic resulted in 600,000 estimated excess deaths in 2020, followed by about 800,000 in 2021.⁸ In 2020, output suffered its largest collapse since the 1930s. This contraction was driven by social distancing measures, supply chain disruptions, and risk aversion on the part of consumers and tourists.⁹ Labor poverty increased from 39.0 percent at end-2019 to 46.0 percent in the same quarter of 2020 (a historical peak due to the pandemic), falling back to 37.3 percent by third quarter of 2023. Monetary poverty rates (using the official poverty line - *línea de pobreza por ingresos*) showed a similar inverted-U trend going from 49.9 percent in 2018 to 52.8 in 2020 followed by a rapid decline to 43.5 in 2020.¹⁰

7. **Other structural challenges persist.** There are significant disparities across states and population groups in Mexico,¹¹ including gender, ethnicity and migration disparities.¹² Income inequality is high. Mexico has a higher Gini coefficient than countries with similar GDP/head¹³ but the Gini coefficient for household income has declined from 48.6 to 43.1 between 2016 and 2022 due to solid household income growth among poorer households. The digital divide risks further entrenching historical disparities in economic opportunity.¹⁴ Increased violence and insecurity driven by organized crime activities has deterred investment, reducing the scope to further address economic disparities.¹⁵

8. **The government focused on ensuring a solid macroeconomic framework during the pandemic.** The administration re-prioritized expenditures to focus on universal cash transfers to the elderly and public investment in hallmark infrastructure projects. Total public expenditure, at around 27 percent of GDP in 2020, exceeded pre-pandemic levels. This was funded by trust funds and tax settlements with large companies. The government now renews its focus on several flagship investments, including (i) the reform of the National Guard, (ii) the interoceanic logistic corridor of the Isthmus of Tehuantepec, (iii) full operation of the Dos Bocas refinery and progress on energy self-sufficiency, and (iv) labor market reforms.¹⁶

9. **GDP has recovered to pre-pandemic levels and the macroeconomic framework remains stable.** Mexico's potential growth remains subdued on account of low productivity growth and tamed investment.¹⁷ Following a mild recession in 2019, the economic contraction accelerated in 2020 with the pandemic-induced

⁷ Mexico Electoral and Transition Engagement Advisory Services and Analytics (ASA) (P501990).

⁸ Palacio-Mejía, L. "Leading causes of excess mortality in Mexico during the COVID-19 pandemic 2020-2021," The Lancet, June 2022.

⁹ The size of the sector as a share of GDP decreased from 8.6 percent in 2019 to an estimated 6.8 percent in 2020.

¹⁰ CONEVAL: https://www.coneval.org.mx/Medicion/Paginas/ITLP-IS_pobreza_laboral.aspx and https://www.coneval.org.mx/Medicion/MP/Paginas/Pobreza_2022.aspx.

¹¹ In 2016, for instance, the average GDP per capita of one of the richest states (Nuevo León) was close to the average in Poland, while that of the poorest state (Chiapas) was similar to that of Honduras.

¹² World Bank, Macro and Poverty Outlook, fall 2023 <http://macro-povertyoutlook.worldbank.org>. World Bank, "Female Labor Force Participation in Mexico," March 2021, World Bank, "World Development Report 2023: Migrants, refugees, and societies," 2023.

¹³ Mexico has the highest Gini against comparison countries (i.e., Chile, Malaysia): <https://pip.worldbank.org/poverty-calculator>

¹⁴ Less than half of Mexican households own a computer and about 70 percent have access to the internet. Source : <https://www.hertie-school.org/en/news/detail/content/covid-19-widens-the-digital-divide-in-mexico>.

¹⁵ Cervantes, A. et al., "Estimating the economic impact of interpersonal violence in Mexico in 2021: projecting three hypothetical scenarios for 2030", Pan American Journal of Public Health", March 2023, <https://doi.org/10.26633/RPSP.2023.39>.

¹⁶ For instance, the substantial increment in the minimum wage, accumulating more than 100 percent increment between 2019 and 2023 and the outsourcing labor reform, limiting the outsourcing of workers and enhancing formalization of workers.

¹⁷ Investment has been subdued for more than a decade. By 2022, gross fixed capital formation was similar to that of 2012.

recession. Economic activity returned to its pre-pandemic level in 2022, as GDP grew by 5.7 percent in 2021 and 3.9 percent in 2022. Growth momentum has continued in 2023, with GDP growing by 3.2 percent year-on-year.

10. **Smaller firms were most impacted during the pandemic.**¹⁸ Gross private investment, which had stagnated for more than a decade, fell by 4.4 percent and 17.3 percent in real terms in 2019 and 2020, respectively. It rebounded by 9.7 percent in 2021 and by 7.7 percent in 2022. Micro, small, and medium enterprises (MSMEs), which in 2019 represented over 99 percent of firms (and about 70 percent of employment and 50 percent of value added), were less resilient during the pandemic, mainly due to their lower use of technology to maintain operations.¹⁹ Between mid-2019 and mid-2021, Mexico experienced a net loss of about 400,000 MSMEs (1.6 million closures versus 1.2 million new firms). The decline in private investment during the pandemic was partially offset by higher public infrastructure investment in flagship projects. Recent policy changes in the United States,²⁰ Mexico's largest trading partner, have created a boom in nearshoring opportunities driven by manufacturing and industrial real estate. 21 During the first three quarters of 2023, investment has increased 19.7 percent, surpassing pre-pandemic levels, which could catalyze investment and economic growth, especially in the north and central parts of Mexico.²²

11. **Human development outcomes are still suffering from the impact of the pandemic.** Mexico experienced one of the highest levels of pandemic-related extraordinary deaths in the world, and among the longest school closures in the region, resulting in about two years of learning losses on average.²³ Transfer programs did not significantly offset the effects on household incomes. Between 2016 and 2022, household income from social protection programs (including pensions, scholarships, and other public transfers) increased by 27.3 percent.²⁴ Sweeping reforms to social protection, labor, health, and education programs had only been partially completed by 2020, which led to gaps in coverage, particularly in social protection and health.²⁵ Policy shifts, institutional challenges, and turnover in government also aggravated the pandemic's impact on inequality of access, opportunity, and outcomes in human development.²⁶

12. **As Mexico has exited the pandemic crisis, the urgency of addressing global challenges has increased, particularly climate change adaptation and mitigation, energy access, and water security and access.** Mexico is the second-largest greenhouse gas (GHG) emitter in the region, and among the top ten global emitters of methane.²⁷ The effects of climate change via both extreme and slow-onset events have been increasingly felt, with higher disaster-related costs and greater human impact, particularly on the poorest.²⁸ Mexican agriculture, tourism, water infrastructure, and transportation have all been increasingly hit by climate effects. Current patterns of urbanization, agricultural competition for water resources, deforestation, and the weight of fossil fuel in the energy matrix all make meeting Mexico's Nationally Determined Contributions (NDC) harder, underscoring the need to advance further on key global challenges. To this end, SHCP has focused on boosting sustainable finance, such as the sustainable taxonomy.

¹⁸ World Bank, "Las Empresas Mexicanas durante la Pandemia de COVID-19," June 2021.

¹⁹ World Bank, "Unmasking the Impact of COVID-19 on Businesses: Firm Level Evidence from across the World," 2020.

²⁰ CHIPS Act and Inflation Reduction Act.

²¹ Foreign direct investment (FDI) inflows due to nearshoring could double in the next decade and domestic private investment will complement the supply chains of exporting industries and enabling sectors.

²² Oxford Economics, "Mexico Nearshoring," June 2023.

²³ Mexico registered the highest avoidable mortality rate of all member countries of the OECD, with a rate of 665 per 100,000 inhabitants. www.eleconomista.com.mx/politica/Mexico-con-la-tasa-de-mortalidad-mas-alta-de-la-OCDE-202311160007.html

²⁴ INEGI (2023) Comunicado de prensa Núm. 420/23, page 2.

²⁵ Social assistance coverage in 2020 was similar to 2018, but lower for the poorest quintile. While social assistance coverage in 2022 surpassed its 2018 levels, it remains lower than in 2018 for the poorest quintile.

²⁶ World Bank. "Mexico: Social Protection Public Expenditure and Institutional Review," 2023.

²⁷ Global Methane Tracker 2022 published by the International Energy Agency.

²⁸ The total cost of disasters increased from an average of MXN\$22,388 million per year in 2000-2010 to MXN\$30,220 million per year in 2011-2022. CENAPRED, "Impacto socioeconómico de los principales desastres ocurridos en México," June 2023.

III. SUMMARY OF PROGRAM IMPLEMENTATION

Program and Portfolio Performance

13. **World Bank lending to Mexico has increased, driven by high growth in policy lending.** IBRD lending has increased by more than 25 percent in this CPF period relative to the previous one (FY14-19), propelled by an eightfold increase in DPF net commitments. At the end of FY23, total approved lending during the CPF period was US\$4.3 billion (US\$3.9 billion in DPF), versus US\$3.4 billion during the previous CPF (US\$0.5 billion in DPF). One additional DPF is planned for FY24. IFC's commitments increased from US\$1.62 billion in FY14-17 to US\$1.75 billion in FY20-23. Annex 5 provides an overview of portfolio performance.

14. **Higher demand for policy lending and reduced appetite for investment lending can be traced to a combination of global challenges and domestic policy shifts.** Multiple global crises made fast-disbursing DPF operations the instrument of choice. Domestically, policy priorities were focused on a few large public investment projects, limiting space in the federal budget for other CPF focus areas. The government also withdrew earlier requests for World Bank support in several areas, indicating shifting priorities or views of the benefits of external project financing. Changing policy directions, institutional challenges, high turnover in key institutions, and security obstacles further affected policy continuity, implementation, and results. With the 2024 electoral transition approaching, the window of opportunity for new policy reforms and the preparation of any further IPF pipeline is now limited.²⁹

15. **The World Bank showed flexibility and pragmatism to deliver results through two main engagement strategies.** First, IBRD responded to changing policy priorities by focusing on policy lending during COVID-19 while continuing to invest in selected shared priorities: forestry preservation, financial inclusion, an improved business environment, and gender equality. IFC introduced upstream pre-investment programs to support market creation and project structuring from an early stage, complemented by advisory projects on climate, gender, and digitalization. Second, at client request, several investment operations were restructured by the Bank, with cancellations of US\$894 million out of US\$1.28 billion in net commitments.

16. **The World Bank has maintained a strong analytical program to inform DPFs, to add value where more intensive financial engagement was not possible, and to explore new entry-points.** Demand-driven Advisory Services and Analytics (ASA) informed key issues across the CPF objectives and maintained World Bank engagement in many areas in the absence of lending (e.g., education, labor market policy, climate change). The Reimbursable Advisory Services (RAS) instrument – a powerful instrument for middle-income countries like Mexico – has been deployed in the transport sector, with a new agreement signed in July 2023.

17. **The CPF's intended subnational focus on Mexico's southern states was advanced through policy lending and advisory services.** The CPF aimed for a greater impact on Mexico's southern states, where a large share of the poorest population lives. This objective was affected by the reduced IPF program to channel further resources to the poorest states in the south, as legal and institutional obstacles prevent direct lending to subnational government in Mexico. Still, IBRD supported federal policies (through policy-based lending) that generated benefits for the whole country, but had positive effects for lagging states (e.g., the Urban Upgrading Program supported under the Environmental Sustainability and Urban Resilience DPF targeted marginalized urban areas with above-average deficits in access to public services and infrastructure in southern states). Analytical and advisory engagements have allowed demand-driven support to states, for example through just-in-time support in several sectors (e.g., productivity, education, disaster risk management), helping identify new partners and pave the way for potential future engagements (Annex 5).

18. **Fiduciary management has been satisfactory.** Financial management and procurement arrangements for IBRD projects are adequate. IBRD has strengthened client procurement capacity and

²⁹ The choice of lending instrument also relates to the characteristics of the investment project financing (IPF) instrument, particularly its disbursement profile, associated commitment fees and implementation modalities.

harmonized procurement documents are being updated.³⁰ IBRD has also supported higher quality financial management at national and project levels, in coordination with the Inter-American Development Bank (IDB) and the national organized accounting profession. Audits are generally on time and unqualified. More customized, agile approaches, including greater use of digital technologies, will be explored.

19. **The portfolio complied with safeguard policies and the Environmental and Social Framework (ESF).** Project environmental and social risk ratings have ranged from moderate to low. Targeted supervision and capacity-strengthening for all IPF projects have advanced ESF implementation, including in good practices such as the Dedicated Grant Mechanism for Indigenous Peoples and Local Communities Project.

20. **IFC's committed portfolio in Mexico stands at US\$2.4 billion, leveraging further private-sector finance.** As of December 31st, 2023, IFC portfolio included US\$827 million of mobilized resources, the fourth largest portfolio regionally and 13th globally. From FY20 to February 2024, IFC has committed US\$2.3 billion of long-term financing (including US\$900 million of mobilized resources) and US\$706 million of short-term financing.

21. **MIGA's guarantees in Mexico stand at US\$2.3 billion, de-risking foreign investments and lending, which could lead the way to structure more operations with the financial sector.** Mexico is MIGA's largest exposure in the LAC region and globally. As of end-FY23, MIGA's exposure in Mexico was in support of one project in the energy sector. During the CPF, MIGA has provided guarantees to the Federal Electricity Commission to rehabilitate and modernize hydropower plants and to the export credit agency Bancomext to help exporting firms mitigate the impacts of the pandemic, the latter cancelled in April 2023. In October 2023, MIGA issued capital optimization guarantees of \$1.9 billion to HSBC, covering the risk of expropriation of funds for the mandatory reserves that HSBC Mexico holds at the central bank of Mexico.

Progress Towards CPF Objectives

22. **Despite progress, many CPF targets are not on track.** The global and domestic shifts described above have both affected CPF implementation and results. Of 24 objective indicators, (i) eight have been achieved, (ii) one is partially achieved, (iii) five are on track but require adjustments to be achieved, and (iv) ten are off track, five of which are unlikely to be achieved as a result of cancellations or restructurings.³¹ In some areas, progress has been made through other channels, e.g., DPF or ASA as opposed to IPF (see Annexes 3 and 5).

Focus Area A: Supporting more rapid, more inclusive growth.

23. **In Focus Area A, of six indicators, one is achieved, one is partially achieved, one is on track, and three are off track.** Challenges are mainly due to cancellations and restructurings of operations, pandemic impact, and monetary tightening to contain inflation.

24. **Financial intermediation and inclusion results are mixed.** Progress on expanding access to credit for MSMEs was constrained by the pandemic, as well as liquidity and solvency issues faced by non-banking financial institutions (Indicator 1.2: MSMEs loans extended). Additional IBRD financing of the "Expanding Rural Finance Project" was ruled out by debt ceilings during the pandemic and a shift in policy and lending priorities (Indicator 1.1: rural microenterprises and SMEs with access to credit). Financial inclusion has been expanded through electronic payments via the new electronic payment platform (Indicator 1.3).

25. **IBRD has supported subnational competition regulation in the telecom, transport, and retail sectors.** Forty-one subnational laws and regulations were changed to introduce a more competitive regulatory framework, achieving Indicator 2.1 (pro-competitive regulatory framework at the subnational

³⁰ Seven IPFs, including four trust funds are implementing the procurement regulations, taking into account the benefits of their flexibilities according to the context, risk, value, and complexity of each project, supported by its own project procurement strategy.

³¹ Achieved: the targets were met on time or ahead of time; Partially achieved: half of the targets or less were met and the indicator is dropped in the PLR; On track: more than half of the targets have been met; Off track: half of the targets or less have been met.

level). IBRD also supported the conceptualization and design of the national digital platform aimed at enhancing business regulation across the regulatory governance cycle. IFC support to *Altan Redes* (the company responsible for the shared network) contributed to an increase in the population covered by wireless broadband to 70 percent as of January 2022 (Indicator 2.2). Limited progress was observed on agriculture storage infrastructure and market price information systems (Indicator 2.3), as a result of the January 2020 cancellation of the “Grain Storage and Information for Agricultural Competitiveness Project” at client request, reflecting changes in priorities. A strong ASA program on inclusive growth included the 2022 Productivity Report and joint IBRD-IFC work on nearshoring, entrepreneurship, and eco-industrial parks.

Focus Area B: Strengthening institutions for public finance, service delivery, and economic inclusion.

26. **In Focus Area B, of nine indicators, three have been achieved, one is on track, and five are off track.** On public service delivery, under Objective 3 (enhance the management of public resources), no progress was made on Indicator 3.1 (population captured by the single identification system) due to the client decision to cancel the “National Digital Identity System Project” in 2022, reflecting priority changes. Support to public finance through the “Modernization of Public Financial Management Systems in Mexico Project” was constrained by the pandemic and implementation delays, which limited progress on Indicators 3.2 (budget executed through the Integrated Financial Management Information System) and 3.3 (time to produce consolidated budget execution information). The project was restructured and is now in problem project status. IFC’s support to Public Private Partnership (PPP) transactions included two projects successfully awarded in May 2021 under the Los Cabos Water Advisory Project (Indicator 3.4: PPP transactions).

27. **Despite the impact of the pandemic, specific results indicators in education and social protection service delivery are encouraging.** Objective 4 (strengthen institutional capacity to deliver inclusive social services) has been supported through the national early childhood development strategy (indicator 4.1 adoption at the state level). Indicator 4.2 (pilots of the new integrated health networks at the state level) was not achieved due to changes in government priorities. IBRD technical assistance was provided to the National Institute of Public Health and the Secretariat of Finance and Public Credit (SHCP). Almost 52,000 additional patients were attended between 2018 and 2022 by IFC supported healthcare services, exceeding the targets for Indicator 4.3 (patients benefiting from the healthcare services). Objective 5 (strengthen the capacity of the social protection system for economic inclusion) was achieved through the “Social Protection System Project” and support to Mexico’s National Employment Service (SNE). Indicator 5.1 (Integrated Social Protection Centers established) was surpassed. Indicator 5.2 (implementation of modernized processes at SNE) has also been achieved through support to SNE, including the expansion of its office network.

Focus Area C: Enabling sustainable infrastructure and climate action.

28. **In Focus Area C four of the nine objective indicators have been achieved; three are on track (after some adjustments); and two are off track.** Notable results have been achieved on housing and sustainable landscape management, despite some implementation delays and restructuring.

29. **Progress has been lower than expected under Objective 6 on more inclusive and sustainable infrastructure services.** The “Water Security and Resilience of the Valley of Mexico Project” (PROSEGHIR), approved in February 2020, was delayed for over two years, slowing progress on Indicator 6.2 (people with improved water supply reliability), but remains a priority in line with the Evolution Roadmap’s global challenge on water security and access. A project to support Mexico’s National Infrastructure Fund (FONADIN) was dropped during preparation, affecting Indicator 6.1 (private capital mobilization for infrastructure). Nevertheless, almost US\$570 million have been mobilized by the issuance of sustainable bonds with a gender perspective by the infrastructure development bank, BANOBRAS. Despite US\$800 million of IFC additional private finance mobilization and own account investments in infrastructure, results are below expectations for indicator 6.1. MIGA’s guarantee played a catalytic role in the *Tierra Mojada* Power Plant project, which was cancelled in December 2020 owing to the successful refinancing of the project’s

bank debt with a bond, issued after the project had become operational. Although minimum power was delivered during MIGA's contract period, the project has generated 5,828 GWh of electricity above the target for Indicator 6.4 (total power generated). In June 2023, MIGA also signed a guarantee supporting CFE for the rehabilitation and modernization of hydropower plants. The "Energy Efficiency in Public Facilities Project" (PRESEMEH) was scaled down to one third of the original US\$150 million, reducing progress on Indicators 6.3 (energy savings) and 7.1 (GHG emissions reduced). Indicator 6.5 (access to low-cost resilient housing) was reached through the "Improving Access to Affordable Housing Project" and IFC support to a housing provider.

30. **Progress on Objective 7 on climate change mitigation has been satisfactory.** Sustainable landscape management practices (Indicator 7.2) and the number of beneficiaries, particularly women and indigenous peoples, implementing sustainable management schemes (Indicator 7.3) have increased with satisfactory implementation of the "Strengthening Entrepreneurship in Productive Forest Landscapes Project" (PROFOEM). Similarly, power generated from renewable energy sources supported by IFC has achieved its target (Indicator 7.4), with potential for further support. Indicators 7.1 (GHG emissions) and 7.3 (sustainable management schemes in rural areas) were affected by restructurings of the forest, sustainable landscapes, and energy projects, but remain a priority to help tackle the global challenge of climate change.

Progress Towards Corporate Commitments

31. **Corporate commitments have been mainstreamed across World Bank operations.** The portfolio has exceeded corporate and regional targets since FY21 with 100 percent of IBRD projects gender-tagged and all active projects complying with citizen engagement requirements. On climate, IBRD reached an average of 41.3 percent of co-benefits in FY21-23, and IFC and MIGA had an average of 54.5 and 44.0 percent respectively of new projects and guarantees tagged as climate-related since FY20 (Annex 6).

Partnerships and Leveraging

32. **The World Bank has deepened coordination with other development partners.** Under the "Environment Sustainability and Urban Resilience DPF" prior actions on climate, forests, and environmental management were coordinated with partners (Annex 5). The Partnership for Market Implementation, a multi-donor initiative led by the World Bank,³² has provided technical assistance on carbon pricing. The United Kingdom, the United States, and IBRD have joined forces to support Mexico's forestry program (Objective 7). For the remainder of the CPF, closer collaboration within the WBG and with the IDB is expected, including on selected global challenges and private capital mobilization.

IV. EMERGING LESSONS

33. **CPF design needs to adjust to the policy framework and operating environment, taking a pragmatic, flexible, and creative approach to opportunities and risks.** A realistic assessment of country context – policy priorities, financing constraints, political economy, and implementation capacity and likelihood – is crucial. While the pandemic was impossible to predict, other governance, institutional, and sectoral risks could have been assessed more realistically and the program designed accordingly. The PLR builds on these lessons, with greater program selectivity and a more realistic risk assessment, seeking opportunities and balancing what is desirable with what is politically and technically possible at the federal, subnational and sector levels. The Evolution Roadmap, with an enhanced value proposition for middle-income countries, opens opportunities for a more integrated one World Bank Group approach at the project level and in joint knowledge engagements, such as on nearshoring, climate finance, financial inclusion, digital, energy supply reliability and water. Global knowledge initiatives (e.g., the World Development Report on migration) under the new Knowledge Compact may open doors to new forms of collaboration.

34. **Policy-lending can provide rapid support in response to crises, helping finance public expenditures**

³² Among them the European Commission, Germany, Spain, Sweden, Japan, United Kingdom, United States, and Australia.

and laying the foundations for a resilient recovery, while fostering innovations. In recent decades, Mexico has followed a pattern of countercyclical lending, increasing exposure in downturns and crises (e.g., new commitments of US\$10.5 billion in FY08-10 and US\$3.6 billion FY20-22). During COVID-19, three of four DPFs approved in FY20-22 directly supported pandemic crisis response and recovery, including the first “Build Back Better” DPF. DPFs also supported innovative policy reforms (e.g., fintech, gender, and sustainable finance).

35. **IPF preparation can be challenging and fragile, yet investment lending operations have usually led to positive outcomes when implemented.** Despite an investment pipeline reflecting the strength of the dialogue in many sectors, the government made a series of decisions not to proceed with many IPF operations. Complex project design, including inter- and intra-institutional coordination challenges, implementation delays, partial cancellations, have jeopardized impact. Of the five IPF projects that closed in FY20-23, three were found satisfactory by the IEG (e.g., simple project design and client ownership contributed to successful implementation). Four additional IPF projects are rated moderately satisfactory or better and are expected to achieve their objectives by closing in FY25. Reduced appetite for IPF and restrictions on the use of this and other instruments (e.g., PforR) call for a close dialogue on design features, implementation challenges, lessons learned to develop a new federal and potential also subnational pipeline.

36. **Analytical work has added technical value to policy making and served as a technical foundation for policy lending.** In the absence of new investment lending, the ASA program has positioned the World Bank as a trusted adviser on evidence-based policy reforms, strengthening DPF design. Expansion of financial access in Mexico was supported through the Financial Inclusion DPF, the COVID-19 Financial Access DPF, and the Promoting Women’s Economic Opportunities and Sustainable Productivity Growth DPF. These operations built on the 2016 and 2022 Financial Sector Assessment Programs, the Financial Inclusion Global Initiative, the Gender Report, and IFC support on business regulations and SME access to credit.

37. **For IFC, deepening the relationship with the Ministry of Finance, diversifying business development efforts across industries and client types, while also emphasizing non-financial benefits, is expected to both mitigate sector concentration risk and strengthen IFC’s value proposition.** IFC investments in renewable energy in Mexico have grown substantially, representing almost 100 percent of new IFC infrastructure investments from FY18 to FY20. Subsequent difficulties in the sector created a shock to IFC’s infrastructure target, which was only partially mitigated by increased support for digital infrastructure. IFC’s diversification to new players within the financial system and its use of the highest environmental, social, and governance standards have enhanced IFC’s contribution to the financial inclusion and climate agenda, included under CPF focus areas A and C. The latter can be illustrated by IFC investments in the Sustainable Bond issued by GF Mega, structured under a sustainability framework to promote financial inclusion, women’s empowerment, and climate-friendly practices; and the Partial Credit Guarantee to IDEI Green Bond Issuance, to finance Excellence in Design for Greater Efficiencies (EDGE)-certified green residential projects. Synergies and complementarities among IFC, IBRD, and MIGA can also strengthen product and market diversification.

V. ADJUSTMENTS TO COUNTRY PARTNERSHIP FRAMEWORK

38. **This PLR confirms the strategic direction and the duration of the CPF but proposes adjustments to the results framework.** The PLR confirms that the three CPF Focus Areas remain appropriate to address Mexico’s structural growth, inclusion, and sustainability challenges identified in the Systematic Country Diagnostic.³³ The PLR adjusts Objective 2 to reflect new engagements with the private sector and drops Objective 3 to reflect implementation delays and cancellations. Objective 2 includes new indicators on the adoption of a framework to certify industrial parks. Focus Area 3 will continue supporting Mexico in some of the most pressing global challenges, e.g., Climate Change Adaptation and Mitigation; Energy Access; and Water Security and Access. The results matrix has been streamlined to reflect reform space, client demand,

³³ World Bank, “Mexico Systematic Country Diagnostic,” August 2019.

and implementation capacity by sector³⁴ (Annex 2).

Focus Area A: Supporting more rapid, more inclusive growth.

39. **The PLR maintains Objective 1 to “foster financial intermediation and inclusion” and continues supporting sustainable finance.** With limited space for new lending, the PLR proposes to support Mexico’s sustainable finance agenda through analytical support, including the development of a biodiversity taxonomy and associated regulations, building on the joint IFC-IBRD 30x30 Zero advisory services, which also aims to raise the share of green assets in bank portfolios. On financial intermediation, new objectives have been added on increasing account ownership and reducing the gender gap in digital payments. Indicators on users and payments through the digital payments’ platform and MSME loans have been revised to reflect progress.

40. **Objective 2 is adjusted from aiming to “reduce regulatory and competition barriers to economic growth” to “support private sector investment.”** IBRD will support ASA on the subnational implementation of a national digital platform to improve business regulation. Based on analytical work on productivity, entrepreneurship, and eco-industrial parks, IBRD and IFC will support FDI attraction for the piloting of eco-industrial parks. The PLR includes two new indicators on a framework to certify industrial parks including environmental sustainability and the number of IFC transactions tagged as “nearshoring.”

Focus Area B: Strengthening institutions for service delivery and inclusion.

41. **Focus Area B is adjusted from “Strengthening institutions for public finance, service delivery, and economic inclusion” to “Strengthening institutions for service delivery and inclusion.”** The PLR drops Objective 3 to “enhance the management of public resources” due to project implementation delays and cancellations. IBRD will continue supporting SHCP plans to strengthen human resource and public investment management and its integration with the budget system as well as the implementation of Mexico’s sustainable finance strategy. IFC will continue structuring and financing PPP projects in key sectors, yet with more limited scope, given reduced federal funding to structure projects and uneven subnational capacities.

42. **Objective 4 (new Objective 3) is revised to “strengthen the capacity to deliver inclusive education and health services.”** IBRD will remain engaged in early childhood education and support the recovery of learning losses by (i) improving teaching practices; (ii) developing early warning systems to identify students at risk of dropping out and targeted efforts to lower this risk; and (iii) catalyzing human capital formation by expanding early childhood care and education services. IFC will continue to support innovative, scalable models for high-quality, affordable private health-care services. In line with the pandemic prevention and preparedness global challenge, IBRD has shifted its engagement to formulating proposals to enhance readiness and responses for health crises and the resilience of health financing to population ageing.

43. **Objective 5 (new Objective 4) is adjusted to “strengthen the capacity to deliver inclusive social services.”** IBRD work with SNE to use good practices and digital tools to support social protection and improve the integration of vulnerable members of the labor force (e.g., women, youth, and migrants).

Focus Area C: Enabling sustainable infrastructure and climate action.

44. **Objective 6 (new Objective 5) on more inclusive and sustainable infrastructure services remains a priority, despite challenges in infrastructure sectors.** In the water sector, IBRD will continue to support water supply and sanitation activities through its operation in the Valley of Mexico and potential investments and advisory work in the northern part of the country (e.g., wastewater treatment and reuse, groundwater monitoring and management, and irrigation modernization) in line with the water security and access global challenge. The energy efficiency project (PRESEMEH) will be closed. MIGA will expand its presence through its guarantee to CFE supporting efforts towards tackling the global challenge on energy efficiency and access. IBRD will support Mexico’s development banks on private sector capital mobilization, especially for

³⁴ The PLR drops nine, adjusts thirteen, and reconfirms two out of 24 objective indicators, and adds five new indicators.

infrastructure and energy. IFC will support competitive private energy markets and digital infrastructure, focusing on renewables and telecom, in addition to other areas where private investment can help meeting the growing needs from nearshoring. WBG collaboration with financial entities and funds will be strengthened to promote private capital mobilization to address infrastructure needs in key sectors such as transport, energy, water, and real estate. Indicators have been adjusted to reflect progress and challenges.

45. **The World Bank will intensify efforts to support Mexico’s climate change goals under Objective 7 (new Objective 6).** Cross-sectoral climate change mitigation and adaptation, one of the key global challenges outlined in the Evolution Roadmap, will be supported through ASA. IFC will mobilize knowledge and investments targeted at financial institutions, fintech, and funds to develop sound climate portfolios. MIGA will seek opportunities to support renewable energy projects. MIGA has also issued new capital optimization guarantees to HSBC covering the risk of expropriation of funds for the mandatory reserves that HSBC Mexico holds at the central bank of Mexico. The benefits of the MIGA-enabled capital relief will provide financing of US\$1.5 billion to climate finance sub-projects over 2023-2026. IBRD operations on forestry and agriculture will continue with a focus on forest-dependent communities and on strengthening community and producer organizations in the management and entrepreneurship of productive landscapes, protecting biodiversity and nature as a key global challenge. The World Bank will seek innovation in financial solutions for disaster management and climate resilience and support the sustainable taxonomy. Objectives have been adjusted.

VI. RISKS TO THE CPF PROGRAM

46. **The overall risk for this CPF has increased from Moderate to Substantial.** Table shows the risk assessment, using the Systematic Operations Risk-rating Tool (SORT). The World Bank will carefully assess and mitigate risks through the electoral transition to build a close engagement with the new administration.

Table 1. SORT: Risks to the CPF program

<i>Risk categories</i>	<i>CPF Rating</i>	<i>PLR Rating</i>
Political and governance	M	S
Macroeconomic	M	M
Sectoral strategies and policies	S	S
Technical design of projects or programs	M	M
Institutional capacity for implementation and sustainability	M	S
Fiduciary	M	M
Environment and social	M	M
Stakeholders	M	M
Other (crime and violence)	S	S
Overall	M	S
<i>Note: Summary risks: H = high; S = substantial; M = moderate; L = low</i>		

47. **Political and Governance Risk is increased from moderate to substantial.** Program implementation could be delayed ahead of the presidential election in June 2024 and the following transition period, including restrictions on new reforms. To mitigate this risk, IBRD will focus on: (i) accelerating portfolio implementation and addressing project risks; (ii) preparing a transition engagement strategy (including transition notes) and rapidly engaging with

the new administration; and (iii) seeking opportunities for subnational dialogue.

48. **Institutional Capacity for Implementation and Sustainability risk has risen to substantial.** Implementation challenges have increased, affecting planning, management, budgeting, and monitoring and evaluation. Turnover of government staff, limited experience with international financial institutions, process-intensive implementation, regulatory and bureaucratic hurdles, and procurement delays have increased transaction times, requiring the restructuring of implementation arrangements in several projects. To mitigate these risks, IBRD has strengthened the coordination with government, created early warning mechanisms across the portfolio, and enhanced implementation readiness on new investment projects.

49. **Insecurity, crime, and violence continue to pose substantial risks to CPF implementation.** Security challenges affect beneficiaries and staff, impede mission travel and delay operations. To mitigate the risks, engagements in high-risk areas are limited, remote monitoring is used, security is closely monitored, and security training and support is provided in line with the Mexico Office Security Strategy.

Annex 1. Updated CPF Results Matrix (basis for Completion and Learning Review self-evaluation).

Updated CPF Objectives and Indicators	Key World Bank Group activities
Focus Area A. Supporting more rapid, more inclusive growth	
Objective 1. Foster financial intermediation and inclusion	
[IBRD input] (1.1) Percentage of adult population owning at least one account (percentage) Baseline: 47.1 (2018) PLR Actual: 49.1 (2021) Target: 52.0 (Dec-2024)	Financial Services <u>Pipeline</u> – IFC investments in banking, microfinance, non-banking financial institutions, financial technology (fintechs), and funds <u>Ongoing</u> – IBRD Women Economic Opportunities Development Policy Financing (DPF) (P180496) – IBRD Inclusive and Sustainable Economic Growth DPF (P178224) – IFC: Sabadell Mex (40408), Mifel (29030), BBVA Leasing (38504), Konfio (45692/46096), AltumCP II (44744), Altum CKD ³⁵ II (46654), Debt Capital Market (DCM) Asset-Based Lending ABL Trust Mx (42055), DCM CRT ³⁶ Santander (39976), DCM Mega Sbond (45878), DCM ABL Arrendat+(46095), CI Crediclub (46497), CERPI ³⁷ Altum (47715), PC Capital II (42204), Klar (43932/45803/46886) <u>Closed</u> – IBRD Financial Inclusion DPF (P167674) – IBRD COVID-19 Financial Access DPF (P172863) – IBRD Strengthening Economic Sustainability DPF (P174150) – IBRD Expanding Rural Finance + Additional Financing (Additional Financing) (P153338/P169156)
[IBRD input] (1.2) Gender gap share of adults (age 18 to 70) making digital merchant payments (in percentage points) Baseline: 6.3 (2021) PLR Actual: 6.3 (2021) Target: 5.0 (2024)	
[IFC input] (1.3) Microloans and SME loans and leases extended by IFC portfolio clients (number, outstanding) (IFC) Baseline: 693,000 (2018) PLR Actual: 750,829 (Dec-2021) ³⁸ Target: 960,000 (Dec-2024) - Of which women-headed (number, outstanding) Baseline: 663,893 (2018)	

³⁵ Certificados de Capital de Desarrollo (Certificates of Capital Development).

³⁶ Capital Relief Transaction.

³⁷ Certificados Bursátiles Fiduciarios de Proyectos de Inversión (Investment Trust Certificates).

³⁸ Source: includes the number of outstanding microloans, small and medium enterprise (SME) loans, and SME leases. Includes: (a) 691,841 microloans and SME loans from Development Outcome Tracking System (DOTS) indicators and (b) 58,988 additional microloans and SME loans reported in the Reach Survey by the International Finance Corporation (IFC) portfolio clients Total (a+b): 750,829 as of December 2021. For comparison purposes, the actual figures include Progresemos', Camesa's, and Contigo's portfolio data as of the last measurement year. As of the end of 2021, Camesa and Contigo exited IFC portfolio.

Updated CPF Objectives and Indicators	Key World Bank Group activities
PLR Actual: 524,832 (Dec-2021)³⁹Target: 715,000 (Dec-2024) [IBRD input] (1.4) Users and payments through new digital payments (CoDI) electronic payment platform (number) Baseline: 0 users, 0 transactions (2018) PLR actual: 17,878,857 users, 8,729,920 transactions (Jul 2023)⁴⁰ Target: 25 million users, 12 million transactions (2024)	– IFC: Camesa (40066), Contigo (38960) – MIGA Bancomext COVID-19 Response (14665) Knowledge services <u>Ongoing</u> – IBRD ASA Finance and Private Sector Policies for Sustainable and Inclusive Growth (P502579) – IFC: Latin America and the Caribbean (LAC) Digital Innovation Lab (602732), LAC Sustainable Energy Finance (SEF) Climate Finance (602081), CnC DAEP Mexico (607065), Epayments Solutions (607752) – IFC-IBRD: 30x30 Zero Mexico (606410) <u>Closed</u> – IBRD Advisory Services and Analytics (ASA) Sound financial sector development (P179723) – IBRD ASA Pensions and Capital Market Development (P172249) – IBRD ASA Mexico Financial Inclusion Global Initiative (P167371) – funded by Bill and Melinda Gates Foundation – IBRD ASA Financial Sector reforms to support sustainable and inclusive post COVID recovery (P177756) – IBRD ASA Strengthening <i>Banco del Bienestar</i> (P176457) – IBRD ASA Financial Sector Assessment Program (FSAP) Update (P178110) – IBRD ASA Cross listing of securities between Mexico and Northern Triangle countries (P177733) – IFC: Progresemos (603142), Women Small and Medium Enterprise (SME) financing study (601648), Citibanamex Banking of Women SME (606134)

³⁹ Includes number of outstanding microloans, SME loans, and SME leases to women and for women-led or owned microenterprises and SMEs. Uses gender data where available. Includes: (a) 519,484 loans to women-owned microenterprises and SMEs from DOTS indicators and (b) 5,348 additional loans to women-owned microenterprises and SMEs reported in the Reach Survey by IFC portfolio clients. Total (a+b): 524,832 as of December 2021. For comparison purposes, the actual figures include Progresemos', Camesa's, and Contigo's portfolio data as of the last measurement year. As of the end of 2021, Camesa and Contigo exited IFC portfolio.

⁴⁰ See number of validated accounts and transactions at: <https://www.banxico.org.mx/sistemas-de-pago/codi-cobro-digital-banco-me.html>

Updated CPF Objectives and Indicators	Key World Bank Group activities
Objective 2. Support private sector investment	
[IBRD input] (2.1) Subnational laws and regulations to introduce a pro-competitive regulatory framework in sectors (number) Baseline: 0 (2018) PLR Actual: 41 (2023) ⁴¹ Target: 15 (2022) ⁴²	Financial services <u>Pipeline</u> – IBRD Strengthening Agriculture and Food Systems by Promoting Access to Finance (AGROINCLUYE) (P175940) – IFC investments in digital infrastructure and related to nearshoring <u>Ongoing</u> – IFC telecom, media, and technology (TMT): VMM (33958), Project KIO (46638) <u>Closed</u> – IBRD Strengthening Economic Sustainability DPF (P174150) – IBRD Grain Storage and Information for Agricultural Competitiveness (P160570) – IFC TMT: Altan (38474), Odata MX (45309) <u>Dropped</u> – IBRD Additional Financing Grain Storage and Information for Agricultural Competitiveness (P169339) Knowledge services <u>Ongoing</u> – IBRD ASA Finance and Private Sector Policies for Sustainable and Inclusive Growth (P502579) – IBRD ASA Enhancing Productivity Policies in Mexico (P179940) – IFC Nearshoring Central America, Colombia, Mexico (CACM) (607870) <u>Closed</u> – IBRD ASA Strengthening Business Regulatory Environment (work with CONAMER) (P173954)
[IFC input] (2.3) IFC transactions tagged as nearshoring (number) Baseline: 0 (Jun-2023) PLR Actual: 0 (Jun-2023) Target: 6 (Jun-2025) ⁴³	

⁴¹ Includes 37 municipal and 4 state regulations. In all cases, the Programa de Reforma a Sectores Prioritarios (Priority Sectors Reform Program, PROREFORMA) certificate was received. The information is available at: <https://conamer.gob.mx/certificaciones/Certificaciones/?filter=PROREFORMA&vallsFilter=1>

⁴² Some indicators have targets dates for 2021-22 to reflect the achievements of engagements during the first half of the CPF period, which are not envisaged to continue during the remainder of the CPF.

⁴³ Includes committed investments and advisory/upstream projects from July 2023 to date, counted by project ID, with a score of 55 points (of 100) or more in the nearshoring matrix of eligibility criteria established in IFC Strategy of Nearshoring in Mexico currently under discussion.

Updated CPF Objectives and Indicators	Key World Bank Group activities
	– IBRD ASA Female Entrepreneurship Impact Evaluation Follow Up (P165672) – IBRD ASA Understanding Drivers of Productivity to Unleash Growth in Mexico (P170829) – IBRD ASA Flagship on Female Labor Force Participation (P171008) – IBRD ASA Female Labor Force Participation and Gender Analytics (P174711) – IBRD ASA Promoting Gender Equality and Women Labor Force Participation (P176952) – IBRD ASA Supporting COVID-19 and Priority Programs in Agriculture (P173171) – IBRD ASA Evaluating “Producción para el Bienestar” —Policies for Green, Resilient and Inclusive Agro-Food System Development in Mexico (P177835) – IBRD ASA Supporting Private Sector Firm Recovery and Productivity Growth in the aftermath of COVID-19 (P175229) – IBRD ASA Spurring COVID-19 Firm Recovery and Productivity Growth (P177889) <u>Dropped</u> – IBRD ASA Identifying Opportunities to Strengthen the Mexican Agri-Food System (P168099)

Updates CPF Objectives and Indicators	Key World Bank Activities
Focus Area B. Strengthening institutions for service delivery and inclusion	
Objective 3. Strengthen the capacity to deliver inclusive education and health services	
[IBRD input] (3.1) States that adopt the National Early Childhood Strategy (ENAPI, acronym in Spanish) by forming a State Commission for Early Childhood (number) Baseline: 15 (2018) PLR Actual: 31 (2022) ⁴⁴ Target: 32 (Dec-2024)	Financial services <u>Pipeline</u> – IFC investments in healthcare providers, pharmaceuticals, and education services <u>Ongoing</u> – IFC Pharma: Genomma Lab (40144/43815), Neolpharma (39128), Siegfried Rhein (42036) – IFC Healthcare: Sala Uno (33770), Clínicas del Azúcar (40669). <u>Closed</u> – IFC: Hospitaria (30281)
[IBRD input] (3.2) Schools that implement a learning recovery strategy to recover the learning losses caused by the school closures between 2020 and 2021 (number) ⁴⁵ Baseline: 442 (2021) PLR Actual: 6,390 (2023) Target: 6,700 (Dec-2024)	Knowledge services <u>Pipeline</u> – IFC advisory and upstream services in healthcare and education <u>Ongoing</u> – IBRD ASA Poverty Assessment (P179488) – IBRD ASA Core Poverty and Equity Programmatic (P180251) – IBRD ASA Strengthening Education Trajectories: Policy Responses and Actions (P500555) – IBRD ASA Health Sector Financial Sustainability and Resilience (P179882) – IFC Health: Neolpharma API (606542) <u>Closed</u>
[IFC input] (3.3) Patients benefiting from the healthcare services of IFC clients (number) (IFC) Baseline: 118,755 (2018) ⁴⁶ PLR Actual: 164,232 (2022) ⁴⁷ Target: 158,355 (2022) ⁴⁸	

⁴⁴ Source: National System for the Protection of Girls, Boys and Adolescents (SIPINNA).

⁴⁵ IBRD has been supporting States in the design, implementation, and/or evaluation of learning recovery strategies, such as the Early Warning System, Teacher Professional Development (using IBRD instruments, Teach and Coach), and Learning evaluation. The strategies include pilot programs and state-wide interventions. The current actual reflects the assistance provided to Guanajuato; the target includes schools in the state of Guanajuato and Oaxaca.

⁴⁶ “Patients”: patients attended by IFC healthcare clients (excludes pharmaceutical companies). The results refer to all the patients attended by IFC healthcare clients during 2022. The baseline was calculated as the number of patients attended by IFC healthcare clients during the year 2018. Sources: Development Outcome Tracking System (DOTS), AMRs, and information provided by IFC client companies.

⁴⁷ The progress was calculated as the number of patients attended by IFC healthcare clients during the year 2022. The actual figure includes Hospitaria’s data as of the last measurement year. As of the end of 2019, Hospitaria exited IFC portfolio. Sources: DOTS, AMRs, and IFC Portfolio Officer.

⁴⁸ The target was achieved in 2022. The 2022 target will remain unchanged, as the annual number of patients served by IFC clients in 2023 will likely be similar to that of 2022.

Updates CPF Objectives and Indicators	Key World Bank Activities
	– IBRD ASA Support Primary Health Care in Mexico (P171718) – IBRD ASA Health Sector and Risks Dialogue (P175270) – IBRD ASA Pandemic Preparedness and Building Back Better (P177187) – IBRD ASA Distributional Impact of Fiscal Policy (P171007)
Objective 4. Strengthen the capacity to deliver inclusive social services	
[IBRD input] (4.1) Integrated Social Protection Centers established (number) Baseline: 0 (2018) PLR Actual: 10,936 (June-2021)⁴⁹ Target: 600 (2021)⁵⁰ - Of which in municipalities with high indigenous population (number) Baseline: 0 (2018) PLR Actual: 2,410 centers (June-2021)⁵¹ Target: 300 centers (2021)⁵²	Financial services <u>Closed</u> – IBRD Social Protection Project + Additional Financing (also P147212) Knowledge services <u>Ongoing</u> – IBRD ASA Poverty Assessment (P179488) – IBRD ASA Core Poverty and Equity Programmatic (P180251) – IBRD ASA MX Social Protection and Labor Engagement and Analytics-II (P179490) – IBRD ASA Climate and Environmental Migrants Country Note (P181289) <u>Closed</u>

⁴⁹ Sources : Social Protection Project (P147212), Reports Nos. ICR5632 December 2021 & ICRR22884 March 2022.

⁵⁰ The target was set until 2021 to reflect IBRD's support the conditional cash transfer program, Prospera, through the Social Protection System Project (P147212) that closed in June 2021. No additional engagement in the sector.

⁵¹ Source: P147212 Idem.

⁵² The target was also set until 2021 to reflect IBRD's support the conditional cash transfer program, Prospera, through the Social Protection System Project (P147212) that closed in June 2021. No additional engagement in the sector.

Updates CPF Objectives and Indicators	Key World Bank Activities
[IBRD input] (4.2) States where the National Employment Service has implemented modern processes to promote inclusion (number) Baseline: 0 (2018) PLR Actual: 32 (2023)⁵³ Target: 32 (2024)	– IBRD ASA ECCE to promote equity in Mexico (P177138) – IBRD ASA Mexico Youth Labor Market Inclusion (P163362) – IBRD ASA Social Protection and Labor Engagement (P163477) – IBRD ASA Social Protection and Labor Support for Response to COVID-19 (P173870) – IBRD ASA Social Protection and Labor Engagement and Analytics (P177651) – IBRD ASA Strengthening Mexico’s Social Protection System for Disaster Preparedness and Response (P166717) – IBRD ASA Distributional Impact of Fiscal Policy (P171007) – IBRD ASA Flagship on Female Labor Participation (P171008) – IBRD ASA Female Labor Force Participation and Gender Analytics (P174711) – IBRD ASA Promoting Gender Equality and Women’s Labor Participation (P176952) – IBRD ASA Analysis of Occupations and Skills in Demand (P171858) – IBRD ASA Pension Engagement: Reforming Pensions in Mexico (P172600) and Reforming Pensions in Mexico II (P177366) – IBRD ASA Mexico Youth Labor Market Inclusion (P163362) – IFC Vocational and Technical Education advisory project (605465)
Focus Area C. Enabling sustainable infrastructure and climate action	
Objective 5. Provide more inclusive and sustainable infrastructure services	
[IBRD, IFC & MIGA inputs] (5.1) Private finance mobilization, IFC own account investments, and MIGA guarantees for infrastructure supported by World Bank activities (US\$ volume, cumulative) (IBRD, IFC, and MIGA) Baseline: 0 (2018) PLR Actual: 1.95 billion (2023)⁵⁴	Financial services <u>Pipeline</u> – IFC investments and mobilization in power, transport, logistics, water, waste, telecom, media, and technology (TMT) <u>Ongoing</u>

⁵³ Source: data provided by the National Employment Service (SNE) agency in connection with the ASA Mexico Social Protection and Labor Engagement (P163477).

⁵⁴ PLR Actual comprises:

- (i) IBRD: US\$569 million (Aug-2023). Through the Promoting Women Economic Opportunities and Sustainable Productivity Growth DPF (P180496), IBRD supported the government’s measures to increase financing for low-carbon and gender-inclusive infrastructure and reconstruction of public services after climate disasters aiming to increase the availability of low-carbon and climate-resilient infrastructure and services that particularly benefit women. This is evidenced by Mexico’s state-owned development bank, BANOBRAS, Sustainable Bonds with a Gender Perspective Reference Framework dated September 13, 2022, and Sustainalytics’ second-party opinion dated August 19, 2022, both published in BANOBRAS’ website. Source: Women Economic Opportunities DPF (P180496), Project Appraisal Document (PAD), Report No.

Updates CPF Objectives and Indicators	Key World Bank Activities
Target: 2.5 billion (June-2025) ⁵⁵	

PGD417. As of September 2023, BANOBRAS has issued Sustainable Bonds with Gender perspective for US\$569 million. Source: BANOBRAS, Press Releases October 20, 2022, <https://www.gob.mx/BANOBRAS/articulos/BANOBRAS-coloco-7-500-mdp-a-traves-de-tres-bonos-en-el-mercado-local-de-deuda-dos-de-ellos-sustentables-con-perspectiva-de-genero?idiom=es> and March 15, 2023, https://www.gob.mx/cms/uploads/attachment/file/809712/Boleti_n_002._BANOBRAS_coloco__con_e_xito_tres_bonos_en_el_mercado_local_de_deuda__dos_de_ellos_sustentables_con_perspectiva_de_ge_nero.pdf

- (ii) IFC: US\$849 million (June 2023). Sums IFC own account and mobilization amounts reported from 2019 to date of the Infra Industry Group projects (all sectors), as well as of the PPP Advisory Group projects (PPP/CTA/C3P) related to infrastructure (e.g., energy, telecom, water, waste, transportation, among others). Source: IFC Dashboard and IFC Program and Pipeline Report.

- (iii) MIGA: US\$536 million (June 2023). MIGA CFE Mexico Hydropower Rehabilitation Program Project signed in June 2023.

⁵⁵ The target was estimated based on US\$1 billion (IBRD), US\$1 billion (IFC), and US\$536 million (MIGA).

Updates CPF Objectives and Indicators	Key World Bank Activities
[IBRD input] (5.2) Projected lifetime energy savings and greenhouse gas (GHG) emission reductions due to energy efficiency projects in public facilities (cumulative) <i>Energy Savings (GWh)</i> Baseline: 56.0 (2018)	Financial services <u>Pipeline</u> – IFC investments and mobilization in power, transport, logistics, water, waste, telecom, media, and technology (TMT) <u>Ongoing</u> – IBRD Promoting Women’s Economic Opportunities and Sustainable Productivity Growth DPF (P180496) – IBRD Inclusive and Sustainable Economic Growth DPF (P178224) – IBRD Water Security and Resilience of the Valley of Mexico (P164389) – IBRD Energy Efficiency in Public Facilities Project (PRESEMEH) + Additional Financing and GEF (P149872) – IFC Electric Power: Potrero Solar (41297), Ienova (42260), Perote (41041) – IFC TMT: Project KIO (46638) – MIGA CFE Mexico Hydropower Rehabilitation Program (15033) <u>Closed</u> – IBRD Improving Access to Affordable Housing (P157932) – IBRD Oaxaca Water Supply System WSS Sector Modernization (P145578) – IFC TMT: Altan (38474), Odata MX (45309) – MIGA Tierra Mojada Power Plant (13880) <u>Dropped</u> – IBRD National Infrastructure Fund (FONADIN) 2.0 (P171904) Knowledge services (incl. RAS) <u>Pipeline</u> – IFC advisory and upstream services in water, waste, transport, energy, and TMT <u>Ongoing</u> – IBRD ASA Innovative Energy Technologies for low-carbon development (P177694) – IBRD ASA Green and Resilient Transport (P177279) – IBRD RAS Reforming the Mexico’s Federal Support Program for Mass Transit (P180226)

Updates CPF Objectives and Indicators	Key World Bank Activities
PLR actual: 184.8 (June 2023)⁵⁶ Target: 290.0 (October 2023) <i>GHG emission reductions (tCO₂)</i> Baseline: 32,600 (2018) PLR actual: 87,919 (June 2023)⁵⁷ Target: 145,000 (October 2023)	– IBRD ASA Supporting Financial preparedness and Sustainable Inclusive Cities in Mexico (P174703) – IBRD ASA Toward integrated disaster risk management (DRM) and risk financing in Mexico) P180436) – IFC Waste: Circularity LAC (607005) <u>Closed</u> – IBRD ASA Opportunities for Geothermal Development in Mexico (P167058) – IBRD ASA Resilient Housing and Schools in Mexico (P171759) – IBRD ASA Support for Safe School Reconstruction (P166393) – IBRD ASA Improving Housing Resilience (P169278) – IBRD ASA Gender-Based Violence in Urban Mobility and Public Transport (P163705) – IBRD ASA Strengthening Water Security in Mexico (P172159) – IBRD ASA Exploring Pathways to Improved Water Security in Mexico (P177521) – IFC Energy: Ammonia Market Study (606147), Regenera Distributed Generation and Energy Efficiency Platform (606297), Mexico Battery Storage Study (603363) – IFC Water: Water Reuse in Mexico City (605889) – IFC Mexico Subnational Financing (606172)
[MIGA input]	

Updates CPF Objectives and Indicators	Key World Bank Activities
(5.3) Total power generated (gigawatt hour, GWh additional annual generation) (MIGA) Baseline: 0 (2018) PLR Actual: 5,828 (2021)⁵⁸ Target: 1,426 (Dec-2024)	
[IBRD & IFC inputs] (5.4) Households with housing supported by World Bank activities (number, cumulative) (IBRD-IFC) Baseline: 17,405 (2018) PLR Actual: 45,168 (2022) Target: 45,168 (2022)⁵⁹ - Of which low-income households with resilient and affordable housing (number, cumulative) (IBRD interventions only) Baseline: 17,405 (2018)⁶⁰ PLR actual: 28,864 (2021)⁶¹ Target: 28,864 (2021) - Of which woman-headed low-income households (IBRD interventions only) (percentage) Baseline: 48 (2018) PLR Actual: 52 (Aug-2021)⁶² Target: 50 (2021)	

⁵⁶ Sources: Energy Efficiency in Public Facilities Project (PRESEMEH) (P149872), ISR June 2023 & Restructuring Papers Nos. RES30194 December 2020 and RES46856 October 2021.

⁵⁷ Idem.

⁵⁸ Source: <https://www.power-technology.com/marketdata/tierra-mojada-combined-cycle-power-plant-mexico/>

⁵⁹ IBRD target was set only until 2021 to reflect IBRD's support through the Improving Access to Affordable Housing (P157932) that closed in August 2021. No further engagement in the housing sector. Sources: Improving Access to Affordable Housing (P157932), Reports No. ICR5484 February 2022 and ICRR22975 June 2022. IFC target was achieved in 2021, and then updated to the latest information available. As of 2022, the client has reported a cumulative of 16,304 residential units developed. The 2021 target will remain unchanged, as existing projects are expected to have a similar trend over the next two years, and the outcome of the new engagements in pipeline will likely take time to materialize.

⁶⁰ Idem.

⁶¹ Idem.

⁶² Sources: P157932, Idem.

Updates CPF Objectives and Indicators	Key World Bank Activities
- Of which housing units supported by IFC (IFC interventions only) (number, cumulative) Baseline: 0 (2018) PLR Actual: 16,304 (IFC) (2022)⁶³ Target: 16,304 (IFC) (2022)	
Objective 6. Support the government in reaching its climate change goals	
(6.1) Greenhouse gas emissions: [IBRD inputs] - Net greenhouse gas emissions of IBRD interventions in sustainable forests and landscapes management (tCO₂) Baseline: 0 (2018) PLR Actual: -4,712,825 (Aug-2023)⁶⁴ Target: -4,887,852 (Dec-2024)⁶⁵ [IFC input] - Greenhouse gas emissions avoided or reduced through IFC renewable energy project interventions (tCO₂, cumulative) Baseline: 0 (2018) PLR Actual: 3,700,988 (Dec-2022)⁶⁶ Target: 6,400,000 (Dec-2024)	Financial services <u>Pipeline</u> – IFC investments in clean energy, climate-smart cities, climate-smart agribusiness, low-carbon manufacturing, green buildings and green finance <u>Ongoing</u> – IBRD Inclusive and Sustainable Economic Growth DPF (P178224) – IBRD Strengthening Entrepreneurship in Productive Forest Landscapes (P164661) – IBRD Energy Efficiency in Public Facilities Project (PRESEMEH) + Additional Financing and GEF (P149872) – IBRD GEF Sustainable Productive Landscapes Project (P159835) – IBRD GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079) – IBRD Dedicated Grant Mechanism (DGM) for IP and LC (P151604) – IFC Agriculture and Forestry: Bioparques (37826), Puertas Finas (33550/36529) – IFC Electric Power: Solem (40372/40374), Potrero Solar (41297), Ienova (42260), Perote (41041).
[IBRD & IFC inputs]	

⁶³ Sum of all the houses sold by IFC housing clients each year between 2019 and 2022. Source: Development Outcome Tracking System (DOTS).

⁶⁴ The net carbon balance quantifies greenhouse gases (GHGs) emitted or sequestered as a result of IBRD project compared to the “without project” scenario applying the Ex-Ante Carbon-balance Tool (EX-ACT) of the Food and Agriculture Organization of the United Nations (FAO). Project estimated GHGs are calculated for a period of 20 years and constitute a net carbon sink of tons of carbon dioxide equivalent (tCO₂e). Sources: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Papers Nos. Nos. RES43839 February 2022 and RES52894 February 2023; GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023; and GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), Project Appraisal Document, Annex 5.

⁶⁵ Sources: P164661, P159835, and P172079.

⁶⁶ Includes the cumulative GHG emissions avoided or reduced by IFC-supported renewable energy projects from 2019 to the last measurement year. Actual figures were calculated by IFC Country and Climate Business Department teams.

Updates CPF Objectives and Indicators	Key World Bank Activities
(6.2) Area under sustainable landscape management and climate-smart practices supported by World Bank projects (hectares) (IBRD-IFC) Baseline: 8,426 (2018)⁶⁷ PLR actual: 3,297,491 (Aug-2023)⁶⁸ Target: 3,971,244 (Feb-2025)	– IFC Energy consumption reduction: CIE Auto (40252) – IFC Climate Finance: Sabadell Mex (40408), BBVA Leasing Mexico S.A (38504), FHIPO (44850), Altum (44744/46654/47715), Nazca (43747/46196), Carbon Credit Fund (CCF) Pilot (45927), Global Supply Chain Finance Program (GSCF) Citi I (48465) – MIGA HSBC Capital Optimization Project Mexico (15150)
[IBRD input] (6.3) Persons benefitting from the implementation of sustainable management schemes in rural areas (number) Baseline: 67,467 (2018)⁶⁹ PLR actual: 190,769 (May-2023)⁷⁰ Target: 209,668 (Feb-2025)⁷¹ Of which (number) Women Baseline: 16,882 (2018)⁷² PLR Actual: 53,699 (May-2023)⁷³ Target: 58,310 (Feb-2025) Indigenous Peoples (only PROFOEM and DGM) Baseline: 31,166 (2018)⁷⁴	<u>Closed</u> – IBRD GEF Sustainable Energy Technologies Development for Climate Change (P145618) – IBRD Environmental Sustainability and Urban Resilience DPF (P174000) <u>Dropped</u> – IBRD REDD+ Emission Reductions Program (P162749) – IBRD Development of Carbon Capture, Utilization, and Storage (P161311) Knowledge services <u>Pipeline</u> – IFC advisory and upstream services in decarbonization, green buildings, clean energy, and circular economy <u>Ongoing</u> – IBRD ASA Climate Change Adaptation and Mitigation Policies (P177455)

⁶⁷ Number of hectares owned by IFC forestry clients that are Forest Stewardship Council (FSC) certified as of 2018. Source: AMRs.

⁶⁸ Source: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Papers Nos. Nos. RES43839 February 2022 and RES52894 February 2023; GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023; and GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), Implementing Agency, Fondo Mexicano para la Conservación de la Naturaleza (FMCN), monitoring system; and IFC number of hectares owned by IFC forestry clients that are Forest Stewardship Council (FSC) certified as of 2022. Source: AMRs.

⁶⁹ Sources: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Paper Nos. RES43839 February 2022 and RES52894 February 2023; GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023, Aide Memoire March 2023 & Restructuring Paper No. RES53706 March 2023; GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), ISR June 2023; and Dedicated Grant Mechanism (DGM) for Indigenous Peoples and Communities (P151604), Restructuring Paper No. RES55869, May 2023 and ISR April 2023.

⁷⁰ Source: P164661, P159835, P172079, and P151604.

⁷¹ Idem.

⁷² Idem.

⁷³ Idem.

⁷⁴ Source: P164661 and P151604.

Updates CPF Objectives and Indicators	Key World Bank Activities
PLR Actual: 88,411 (Mar-2023) ⁷⁵ Target: 87,651 (March 2023)	– IBRD ASA Climate and Environmental Migrants Country Note (P181289) – IBRD ASA Strengthening Service Delivery for Indigenous Peoples and Afro-Descendants in Mexico (P181290) – IBRD ASA Developing Agricultural Bio-Input Markets in Mexico (P500478) – IFC Green Buildings: LAC Green Buildings (604818), Greening Real Estate Investment Pathways LAC Rollout (608141), Mexico Green Buildings (608140) – IFC Strategic Business Solutions: TechEmerge Sustainable Cooling Cities LAC (604508) – IFC-IBRD Climate Finance: 30x30 Program (606410) – IFC Decarbonization: CnC MASPD Mexinol (608044) <u>Closed</u> – IBRD ASA Market Instruments for Climate Change Mitigation in Mexico (P164508) – IBRD ASA Implementation pathways toward climate change goals (P171917) – IBRD ASA Analytical support to Mexico’s Climate Change Agenda (P174413) – IBRD ASA Indigenous Peoples and Afro-descendants Inclusion and Resilience (P178291) – IBRD ASA Capacity Building for Carbon Capture, Utilization and Storage in Mexico (P161360)
[IFC input] (6.4) Power generated from renewable energy sources supported by IFC projects (wind, solar) (GWh) Baseline: 0 (2018) PLR Actual: 3,252 GWh (2022)⁷⁶ Target: 1,510 GWh (2025)	

⁷⁵ Idem.

⁷⁶ Reports the renewable energy generated in GWh in the last measurement year of the projects supported by IFC. Source DOTS.

Annex 2. Matrix of changes to original CPF Results Matrix.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
Focus Area A. Supporting more rapid, more inclusive growth		
Objective 1. Foster financial intermediation and inclusion	-	No change. Remains relevant for the World Bank engagement
[IBRD input] (1.1) Additional rural microenterprises and SMEs with access to credit through World Bank interventions (number, cumulative) Baseline: 0 (2018) Target: 196,893 (2023) Actual: 21,146 (Dec-2020) ⁷⁷ - Of which women-headed (percentage) Baseline: 86 (2018) Target: 90 (2023) Actual: 82.95 (Dec-2020) ⁷⁸ - Of which in marginal municipalities (percentage) Baseline: 10.2 (2019) Target: 15 (2023) Actual: 12.9 (Dec-2020) ⁷⁹ Off track	-	[IBRD input] Dropped. This indicator is dropped to reflect the cancellation of the Additional Financing (AF) Expanding Rural Finance Project (P153338) in 2020.
-	[IBRD input] (1.1) Percentage of adult population owning at least one account (percentage) Baseline: 47.1 (2018) PLR Actual: 49.1 (2021) Target: 52.0 (Dec-2024)	[IBRD input] New. The new indicator on account ownership is linked to reforms supported by the financial inclusion Development Policy Financing (DPF) operations prepared in 2019 (P167674) and 2020 (P172863) that supported account ownership of young population and recipients of

⁷⁷ Sources: Expanding Rural Finance Project (P153338), Reports Implementation Completion and Results Report (ICR) No. 5418 June 2021 & Independent Evaluation Group (IEG) ICR Review (ICRR) No. 22630 November 2021.

⁷⁸ Source: P153338 Idem.

⁷⁹ Source: P153338 Idem.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
		social programs. The Advisory Services and Analytics (ASA) program also supports financial inclusion through the expansion of digital financial services that can facilitate and provide incentives for account opening and usage.
-	[IBRD input] (1.2) Gender gap share of adults (age 18 to 70) making digital merchant payments (in percentage points) Baseline: 6.3 (2021) PLR Actual: 6.3 (2021) Target: 5.0 (2024)	[IBRD input] New. Indicator linked to reform supported under the Promoting Women's Economic Opportunities and Sustainable Productivity Growth DPF (P180496) and the ASA program.
[IFC input] (1.2) Microenterprises and SME loans extended by IFC portfolio clients (number, outstanding) (IFC) Baseline: 693,000 (2018) Target: 1,621,615 (2025) Actual: 750,829 (Dec-2021) Off track	[IFC input] (1.3) Microloans and SME loans and leases extended by IFC portfolio clients (number, outstanding) (IFC) Baseline: 693,000 (2018) PLR Actual: 750,829 (Dec-2021) ⁸⁰ Target: 960,000 (Dec-2024)	[IFC input] Adjusted. Change in the wording of the indicator to better capture the International Finance Corporation (IFC) interventions. Target adjusted downward to reflect implementation progress during the first half of the Country Partnership Framework (CPF), which was negatively impacted by the economic effects of the COVID-19 pandemic on micro, small, and medium-size enterprises (MSME) and non-banking financial institutions, and the slow economic recovery.
- Of which women-headed (number, outstanding) Baseline: 663,893 (2018) Target: 1,500,000 (2025) Actual: 524,832 (Dec-2021) Off track	- Of which women-headed (number, outstanding) Baseline: 663,893 (2018)	Adjusted. Target adjusted downward to reflect implementation progress during the first half of the CPF, which was negatively impacted by the economic effects of the COVID-19 pandemic especially on women-owned MSMEs and the

⁸⁰ Source: includes the number of outstanding microloans, small and medium enterprise (SME) loans, and SME leases. Includes: (a) 691,841 microloans and SME loans from Development Outcome Tracking System (DOTS) indicators and (b) 58,988 additional microloans and SME loans reported in the Reach Survey by the International Finance Corporation (IFC) portfolio clients Total (a+b): 750,829 as of December 2021. For comparison purposes, the actual figures include Progresemos', Camesa's, and Contigo's portfolio data as of the last measurement year. As of the end of 2021, Camesa and Contigo exited IFC portfolio.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
- Of which in the south (number) Baseline: 123,304 (2018) Target: 326,267 (2025) Actual: Data not available	PLR Actual: 524,832 (Dec-2021)⁸¹ Target: 715,000 (Dec-2024) -	slow economic recovery. Dropped. The indicator was estimated with information from two IFC clients who no longer report this information.
[IBRD input] (1.3) Users and payments through new digital payments (CoDI) electronic payment platform (number) Baseline: 0 users, 0 transactions (2018) Target: 25 million users, 40 million transactions (2024) Actual: 17,878,857 users, 8,729,920 transactions (Jul 2023) On track	[IBRD input] (1.4) Users and payments through new digital payments (CoDI) electronic payment platform (number) Baseline: 0 users, 0 transactions (2018) PLR actual: 17,878,857 users, 8,729,920 transactions (Jul 2023)⁸² Target: 25 million users, 12 million transactions (2024)	[IBRD input] Adjusted. Indicator's target adjusted downward to reflect the implementation progress of the new digital payments (CoDI) electronic payment platform during the first half of the CPF.
Objective 2. Reduce regulatory and competition barriers to economic growth	Objective 2. Support private sector investment	Adjusted. IBRD will support private sector investment by (i) improving the regulatory environment at the subnational level, and (ii) attracting foreign direct investment as global value chains are reconfigured and place greater emphasis on environmental sustainability. IBRD will deepen its activities in the country aiming to improve the investment climate through the implementation, at the subnational level, of a national digital platform to manage and improve business regulation along the entire regulatory governance cycle in Mexico. In addition, IBRD and IFC will build on recent analytical work on

⁸¹ Includes number of outstanding microloans, SME loans, and SME leases to women and for women-led or owned microenterprises and SMEs. Uses gender data where available. Includes: (a) 519,484 loans to women-owned microenterprises and SMEs from DOTS indicators and (b) 5,348 additional loans to women-owned microenterprises and SMEs reported in the Reach Survey by IFC portfolio clients. Total (a+b): 524,832 as of December 2021. For comparison purposes, the actual figures include Progresemos', Camesa's, and Contigo's portfolio data as of the last measurement year. As of the end of 2021, Camesa and Contigo exited IFC portfolio.

⁸² See number of validated accounts and transactions at: <https://www.banxico.org.mx/sistemas-de-pago/codi-cobro-digital-banco-me.html>

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
		productivity, entrepreneurship, and eco-industrial parks to support government efforts to leverage the process of reshoring of Global Value Chains and attract investment to the country in order to boost Gross Domestic Product (GDP) growth.
[IBRD input] (2.1) Subnational entities that changed subnational laws and regulations to introduce pro-competitive regulatory framework in sectors, including transport, telecom, and retail (number) Baseline: 0 (2018) Target: 15 (2022) Actual: 41 (2023) ⁸³ Achieved (surpassed)	[IBRD input] (2.1) Subnational laws and regulations to introduce a pro-competitive regulatory framework in sectors (number) Baseline: 0 (2018) PLR Actual: 41 (2023) ⁸⁴ Target: 15 (2022)	[IBRD input] Adjusted. Change in the wording of the indicator to measure laws and regulations instead of entities in line with government available data.
-	[IBRD input] (2.2) Adoption, by the Government of Mexico or a private sector entity, of an internationally recognized framework to certify industrial parks that have adopted environmental sustainability practices (yes/no) Baseline: No (2023) PLR Actual: No (2023) Target: Yes (Dec-2024)	[IBRD input] New. This is a new indicator that reflects IBRD ongoing technical assistance to create and pilot the figure of eco-industrial parks in Mexico.
[IFC input] (2.2) Population covered by wireless broadband network through Red Compartida (percentage) (IFC) Baseline: 35.6 (2018) Target: 92 (2024)	-	[IFC input] Dropped. This indicator is dropped as Altan Redes exited IFC portfolio in June 2022. IFC fulfilled its catalytic role during the period it was engaged with the client.

⁸³ Includes 37 municipal and 4 state regulations. In all cases, the Priority Sectors Reform Program (PROREFORMA) certificate was received. The information is available at: <https://conamer.gob.mx/certificaciones/Certificaciones/?filter=PROREFORMA&vallsFilter=1>

⁸⁴ Idem.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
Actual: 70.66 (January 2022) ⁸⁵ Partially Achieved - Of which rural population (million) Baseline: 5.8 (2018) Target: 14 (2025) Actual: Data not available ⁸⁶		
	[IFC input] (2.3) IFC transactions tagged as nearshoring (number) Baseline: 0 (Jun-2023) PLR Actual: 0 (Jun 2023) Target: 6 (Jun-2025) ⁸⁷	[IFC input] New. This new indicator reflects IFC's business development that could be related to foreign firms relocating to get closer to markets in North America, suppliers of those firms, as well as domestic firms directly integrating into global value chains through exports of those products that final markets aim to get from closer locations.
[IBRD input] (2.3) Beneficiaries using grain storage facilities and accessing grain market information enabled by World Bank interventions in the south and southern states (number) Baseline: 0 (2018) Target: 12,500 (2022) Actual: 1,422 (May-2020) ⁸⁸ Off track - Of whom are female (percentage) Baseline: 0 (2018) Target: 50 (2022)	-	[IBRD input] Dropped. This indicator is dropped due to the cancellation of the Grain Storage and Information for Agricultural Competitiveness Project in 2020.

⁸⁵ Population coverage published by Altan Redes (Red Compartida's concessionaire) on its website (<https://www.altanredes.com/por-que-la-red-compartida/#1589568379878-ae5531ec-ca28>).

⁸⁶ The baseline used the rural population (millions) published by Altan Redes, information that is no longer published on its website.

⁸⁷ Includes committed investments and advisory/upstream projects from July 2023 to date, counted by project ID, with a score of 55 points (of 100) or more in the nearshoring matrix of eligibility criteria established in IFC Strategy for Nearshoring in Mexico currently under discussion.

⁸⁸ Sources: Grain Storage and Information for Agricultural Competitiveness (P160570), Reports Nos. ICR5181 July 2020 & ICRR22293 June 2021.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
Actual: 23.3 (May-2020)⁸⁹ Off track		

⁸⁹ Sources: P160570 Idem.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
Focus Area B. Strengthening institutions for public finance, service delivery, and economic inclusion --Adjusted to: Strengthening institutions for service delivery and inclusion		
Objective 3. Enhance the management of public resources	-	Dropped. The objective was dropped to reflect project implementation delays and cancellations.
[IBRD input] (3.1) Population captured by the single identification system (percentage) Baseline: 0 (2018) Target: 100 (2025) Actual: 0 (2023) ⁹⁰ Off track	-	[IBRD input] Dropped. Indicator dropped. The achievement of this indicator was hindered by the cancellation of the National Digital Identity System to Facilitate Inclusion Project in 2022.
[IBRD input] (3.2) Share of the federal budget directly executed through the Integrated Financial Management Information System (percentage) Baseline: 75 (2018) Target: 88 (2025) Actual: 75 (2023) ⁹¹ Off track	-	[IBRD input] Dropped. The achievement of this indicator was hindered by the implementation delays of the Modernization of Public Financial Management Systems in Mexico Project.
[IBRD input] (3.3) Reduction in the time to produce consolidated budget execution information (days) Baseline: 30 (2018) Target: 7 (2025) Actual: 30 (2023) ⁹² Off track	-	[IBRD input] Dropped. The achievement of this indicator was hindered by the implementation delays of the Modernization of Public Financial Management Systems in Mexico Project.
[IFC input] (3.4) Public-private partnership (PPP) transactions facilitated by IFC (number) (IFC) Baseline: 0 projects (2018) Target: 8 projects (2025)	-	[IFC input] Dropped. The achievement of this indicator was hindered due to the adverse environment regarding PPPs. The indicator was estimated based on the Concept Note of the PPP Facility (Advisory Project ID: 604509), which was dropped in 2021. Without the PPP Facility, it is difficult to

⁹⁰ Source: National Digital Identity System Project (P172647), IBRD Project Records, August 2022.

⁹¹ Source: Modernization of Public Financial Management Systems in Mexico (P169959), Implementation Status & Results Report (ISR) June 2023.

⁹² Source: P169959 Idem.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
Actual: 2 (Jun-2023) ⁹³ Off track		have a portfolio of projects at the subnational level.
Objective 4. Strengthen the institutional capacity to deliver inclusive social services	Objective 3. Strengthen the capacity to deliver inclusive education and health services	Adjusted
[IBRD input] (4.1) States that adopt the revised national early childhood development strategy's governance model for better coordination across sectors and governmental levels (percentage) Baseline: 15 (2018) Target: 100 (2025) Actual: 97 (December 2022) On track	[IBRD input] (3.1) States that adopt the National Early Childhood Strategy (ENAPI, acronym in Spanish) by forming a State Commission for Early Childhood (number) Baseline: 15 (2018) PLR Actual: 31 (2022) ⁹⁴ Target: 32 (Dec-2024)	[IBRD input] Adjusted. Change in the wording of the indicator to narrow its description and target. Change in units from percentage to number unit.
-	[IBRD input] (3.2) Schools that implement a learning recovery strategy to recover the learning losses caused by the school closures between 2020 and 2021 (number) ⁹⁵ Baseline: 442 (2021) PLR Actual: 6,390 (2023) Target: 6,700 (Dec-2024)	[IBRD input] New. A new indicator is proposed to reflect IBRD ASA work supporting states in their learning recovery strategies, strengthening their capacity to design, implement, and/or evaluate their pilots or state-wide strategies.
[IBRD input] (4.2) States in the south that have piloted new integrated health networks (percentage) Baseline: 0 (2018) Target: 50 (2025)	-	[IBRD input] Dropped. The government's health sector reform creating the Institute of Health for Welfare (INSABI) is a structural change unanticipated at the time of the CPF's preparation. Dialogue between the Secretariat of Health and the agencies of the World Bank was suspended

⁹³ The progress includes the Desalination Plant and the Non-revenue Water under the Los Cabos Water advisory project (ID 604179). Both projects were awarded in May 2021. Source: iPortal and projects.

⁹⁴ Source: National System for the Protection of Girls, Boys and Adolescents (SIPINNA).

⁹⁵ IBRD has been supporting States in the design, implementation, and/or evaluation of learning recovery strategies, such as the Early Warning System, Teacher Professional Development (using IBRD instruments, Teach and Coach), and Learning evaluation. The strategies include pilot programs and state-wide interventions. The current actual reflects the assistance provided to Guanajuato; the target includes schools in the state of Guanajuato and Oaxaca.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
Actual: 0 (2023) ⁹⁶ Off track		during the COVID-19 pandemic public health emergency.
[IFC input] (4.3) Additional low-income patients benefiting from the healthcare services of IFC clients (number) (IFC) Baseline: 0 (2018) Target: 39,600 (2022) Actual: 51,199 (2022) Achieved (surpassed)	[IFC input] (3.3) Patients benefiting from the healthcare services of IFC clients (number) (IFC) Baseline: 118,775 (2018) ⁹⁷ PLR Actual: 164,232 (2022) ⁹⁸ Target: 158,355 (2022)	[IFC input] Adjusted. Indicator achieved and surpassed. The wording of the indicator is adjusted to better reflect IFC interventions. Baseline and target adjusted to reflect the actual figures for 2018 and 2022. Data per income group is not provided by IFC clients. The 2022 target will remain unchanged, as the annual number of patients served by IFC clients in 2024 will likely be similar to that of 2022.
Objective 5. Strengthen the capacity of the social protection system for economic inclusion	Objective 4. Strengthen the capacity to deliver inclusive social services	Adjusted
[IBRD input] (5.1) Integrated Social Protection Centers established (number) Baseline: 0 (2018) Target: 600 (2021) Actual: 10,936 (June-2021) ⁹⁹ Achieved (surpassed)	[IBRD input] (4.1) Integrated Social Protection Centers established (number) Baseline: 0 (2018) Target: 600 (2021) Actual: 10,936 (June-2021) ¹⁰¹ Achieved (surpassed)	[IBRD input] No change. Only change in numbering from 5.1 to 4.1. Indicator achieved and surpassed. When IBRD defined the target, the Integrated Social Protection Centers strategy was at an early stage. As a result, the decision was to be conservative with the target. The government prioritized the strategy, resulting in overachievement of the target by a large factor. While the Integrated Social Protection Centers continue to operate

⁹⁶ This technical work did not materialize, and the integrated health networks as envisaged at CPF preparation were not implemented. Moreover, with the dismantling of Seguro Popular, the Secretariat of Health developed a new health care model (MAS Bienestar). This new model, however, has not been implemented in all the states because it requires a new legal framework.

⁹⁷ "Patients": patients attended by IFC healthcare clients (excludes pharmaceutical companies). "Low income": data per income group is not provided by IFC clients. The results below refer to all the clients attended by IFC healthcare clients. However, all three clients' main focus is on low-income population. The baseline was calculated as the number of patients attended by IFC healthcare clients during the year 2018. Sources: Development Outcome Tracking System (DOTS), AMRs, and IFC Portfolio Officer.

⁹⁸ The progress was calculated as the number of patients attended by IFC healthcare clients during the year 2022. The actual figure includes Hospitaria's data as of the last measurement year. As of the end of 2019, Hospitaria exited IFC portfolio. Sources: DOTS, AMRs, and IFC Portfolio Officer.

⁹⁹ Sources : Social Protection Project (P147212), Reports Nos. ICR5632 December 2021 & ICRR22884 March 2022.

¹⁰¹ Idem.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
- Of which in municipalities with high indigenous population (percentage) Baseline: 0 (2018) Target: 50 percent, 300 centers (2021) Actual: 22 percent, 2,410 centers (June-2021)¹⁰⁰ Achieved	- Of which in municipalities with high indigenous population (number) Baseline: 0 (2018) PLR Actual: 2,410 centers (June-2021)¹⁰² Target: 300 centers (2021)	nationwide, 2022 numbers are not yet available. Hence, the target was set only until 2021 to reflect IBRD's support the conditional cash transfer program, Prospera, through the Social Protection System Project (P147212) that closed in June 2021. No additional engagement in the sector. Adjusted. Change in units from percentage to number.
[IBRD input] (5.2) Number of states where the National Employment Service has implemented modern processes to promote economic inclusion (number) Baseline: 0 (2018) Target: 32 (2024) Actual: 32 (2023)¹⁰³ Achieved	[IBRD input] (4.2) States where the National Employment Service has implemented modern processes to promote inclusion (number) Baseline: 0 (2018) Target: 32 (2024) Actual: 32 (2023)¹⁰⁴ Achieved	[IBRD input] No change. Only change in numbering from 5.2 to 4.2. Indicator achieved. IBRD technical assistance has informed the update of the National Employment Service (SNE)'s operational manuals to support the job counseling function (jobseekers¹⁰⁵ and firms¹⁰⁶), as well as the modernization of the employment portal.¹⁰⁷ This included a change to a more client-centered approach and a fully digital/virtual provision of

¹⁰⁰ Source: P147212 Idem.

¹⁰² Source: P147212 Idem.

¹⁰³ Source: data provided by the National Employment Service (SNE) agency in connection with the ASA Mexico Social Protection and Labor Engagement (P163477).

¹⁰⁴ Idem.

¹⁰⁵ Source : https://www.gob.mx/cms/uploads/attachment/file/702892/01_Manual_CdeE_2022_vfinal.pdf

¹⁰⁶ Source : https://www.gob.mx/cms/uploads/attachment/file/702891/02_Manual_Concertacion_Empresarial_2022_vfinal.pdf

¹⁰⁷ Source : <https://www.empleo.gob.mx/PortalDigital>

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
		services. ¹⁰⁸
Focus Area C. Enabling sustainable infrastructure and climate action		
Objective 6. Provide more inclusive and sustainable infrastructure services	Objective 5. Provide more inclusive and sustainable infrastructure services	No change. Remains relevant for the World Bank engagement. Only change in numbering from Objective 6 to Objective 5.
[IBRD, IFC & MIGA inputs] (6.1) Additional private finance mobilization for infrastructure supported by World Bank activities (US\$ volume) (IBRD, IFC, and MIGA) (cumulative) Baseline: 0 (2018) Target: 5 billion (2025) Actual: 1.95 billion = 569 million (IBRD) + 849 million (IFC) (Jun-2023) + 536 million (MIGA) (2023) Off track	[IBRD, IFC & MIGA inputs] (5.1) Private finance mobilization, IFC own account investments, and MIGA guarantees for infrastructure supported by World Bank activities (US\$ volume, cumulative) (IBRD, IFC, and MIGA) Baseline: 0 (2018) PLR Actual: 1.95 billion (2023) ¹⁰⁹ Target: 2.5 billion (June-2025) ¹¹⁰	[IBRD, IFC & MIGA inputs] Adjusted. The wording of the indicator is adjusted to better reflect IBRD, IFC, and MIGA interventions. Target adjusted downward to reflect: (i) IBRD: drop of the FONADIN 2.0 project in 2022 as requested by the government; yet IBRD expects to support this indicator through the Promoting Women Economic Opportunities and Sustainable Productivity Growth DPF (P180496); (ii) IFC: implementation progress

¹⁰⁸ While the pandemic was a catastrophic event for job outcomes, it brought a favorable environment for change in service delivery, including rapid scale up. Initially a more gradual expansion of the modern service provision was envisioned, but with the pandemic these modern processes to promote economic inclusion have been expanded nationally. As such, the indicator has been achieved earlier than expected. At the same time, IBRD continues to provide technical assistance to further improve employment services towards a more integrated approach to promote economic inclusion, including the labor observatory.

¹⁰⁹ PLR Actual comprises:

- (i) IBRD: US\$569 million (Aug-2023). Through the Promoting Women Economic Opportunities and Sustainable Productivity Growth DPF (P180496), IBRD supported the government's measures to increase financing for low-carbon and gender-inclusive infrastructure and reconstruction of public services after climate disasters aiming to increase the availability of low-carbon and climate-resilient infrastructure and services that particularly benefit women. This is evidenced by Mexico's state-owned development bank, BANOBRAS, Sustainable Bonds with a Gender Perspective Reference Framework dated September 13, 2022, and Sustainalytics' second-party opinion dated August 19, 2022, both published in BANOBRAS' website. Source: Women Economic Opportunities DPF (P180496), Project Appraisal Document (PAD), Report No. PGD417. As of September 2023, BANOBRAS has issued Sustainable Bonds with Gender perspective for US\$569 million. Source: BANOBRAS, Press Releases October 20, 2022, <https://www.gob.mx/BANOBRAS/articulos/BANOBRAS-coloco-7-500-mdp-a-traves-de-tres-bonos-en-el-mercado-local-de-deuda-dos-de-ellos-sustentables-con-perspectiva-de-genero?idiom=es> and March 15, 2023, https://www.gob.mx/cms/uploads/attachment/file/809712/Boleti_n_002._BANOBRAS_coloco__con_e_xito_tres_bonos_en_el_mercado_local_de_deuda__dos_de_ellos_sustentables_con_perspectiva_de_ge_nero.pdf.
- (ii) IFC: US\$849 million (June 2023). Sums IFC own account and mobilization amounts reported from 2019 to date of the Infra Industry Group projects (all sectors), as well as of the PPP Advisory Group projects (PPP/CTA/C3P) related to infrastructure (e.g., energy, telecom, water, waste, transportation, among others). Source: IFC Dashboard and IFC Program and Pipeline Report.
- (iii) MIGA: US\$536 million (June 2023). MIGA CFE Mexico Hydropower Rehabilitation Program Project signed in June 2023.

¹¹⁰ The target was estimated based on US\$1 billion (IBRD), US\$1 billion (IFC), and US\$536 million (MIGA).

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
- IBRD delivered 22.3 percent of its 2.5 billion target through the Promoting Women Economic Opportunities and Sustainable Productivity Growth DPF - IFC delivered 56.6 percent of its 1.5 billion target, including own account and mobilization - MIGA delivered 54 percent of its 1 billion target in connection with its MIGA CFE Mexico Hydropower Rehabilitation Program Project signed in June 2023.		during the first half of the CPF was affected by changes in the energy sector regulation; and (iii) MIGA: cancellation of Tierra Mojada project given the prepayment of the guaranteed loan but inclusion of the CFE Hydropower Rehabilitation Program Project.
[IBRD input] (6.2) People in selected urban areas with improved water supply reliability or water service quality supported by World Bank-financed projects (number) Baseline: 0 (2018) Target: 5,950,000 (2025) Actual: 331,564 (June-2023)¹¹¹ On track (with delays) - Of whom in the south (number) Baseline: 0 (2018) Target: 650,000 (2025) Actual: 331,564 (Jan-2021) Partially achieved - Of whom are female (percentage) Baseline: 0 (2019) Target: 52 (2025)	[IBRD input] - - -	[IBRD input] Dropped. Indicator dropped. The achievement of this indicator was hindered by the project delays in the Water Security and Resilience for the Valley of Mexico Project and the Oaxaca Water Supply and Sanitation Sector Modernization Project.

¹¹¹ Sources: Oaxaca WSS Sector Modernization Project (P145578), Reports Nos. ICR5544 December 2021 and ICRR22839 June 2022; Water Security and Resilience of the Valley of Mexico (PROSEGHIR, P164389), ISR June 2023. On PROSEGHIR, only when the project starts investing in dam safety assessments/rehabilitation – and give it time to have an effect on reliability, IBRD will be able to report on the number of beneficiaries served with improved water reliability by the Cutzamala Water System. At Performance and Learning Review (PLR) stage, disaggregated attributed to the small maintenance works and goods acquisition that have been financed so far is not possible.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
Actual: 52.8 (Jan-2021) ¹¹² Achieved		
[IBRD input] (6.3) Projected additional lifetime energy savings due to energy efficiency projects in public facilities (GWh) (cumulative) Baseline: 0 (2018) Target: 1,029 (2025) Actual: 184.8 (June 2023) ¹¹³ Off track	[IBRD input] (5.2) Projected lifetime energy savings and greenhouse gas (GHG) emission reductions due to energy efficiency projects in public facilities (GWh) (cumulative) <i>Energy Savings (GWh)</i> Baseline: 56.0 (2018) PLR actual: 184.8 (June 2023) ¹¹⁴ Target: 290.0 (October 2023) <i>GHG emission reductions (tCO₂)</i> Baseline: 32,600 (2018) PLR actual: 87,919 (June 2023) ¹¹⁵ Target: 145,000 (October 2023)	[IBRD input] Adjusted. Adjustment of the energy savings and inclusion of GHG emission reductions in line with the Energy Efficiency in Public Facilities Project (PRESEMEH) restructurings/partial cancellation in 2020-23. During the restructuring in 2020-21, the loan amount was reduced from US\$150 million to US\$50 million, followed by a restructuring in 2023 to extend the closing date. The project is on track and expected to exceed the revised targets.
[MIGA input] (6.4) Total power generated (gigawatt hour, GWh per annum) (MIGA) Baseline: 0 (2018) Target: 5,190 (2025) Actual: 5,828 (2021) ¹¹⁶ Achieved	[MIGA input] 5.3) Total power generated (gigawatt hour, GWh additional annual generation) (MIGA) Baseline: 0 (2018) PLR Actual: 5,828 (2021) ¹¹⁷ Target: 1,426 (Dec-2024)	[MIGA input] Adjusted. Indicator adjusted to reflect the cancellation of the Tierra Mojada project in December 2020 and the approval of a new guarantee in June 2023 support of the state-owned electric utility, the Federal Electricity Commission (CFE), for the rehabilitation and modernization of various hydropower plants.

¹¹² Source: P145578 & P164389 Idem.

¹¹³ The actual reflects the additional energy savings calculated as the actual value as of June 2023 (184.8 GWh) minus the savings at the baseline year in 2018 (56 GWh), hence 128.8 GWh. The Project has been restructured four times. The targets included in the Project Appraisal Document (PAD) 2016 (Loan Amount of \$100M) and those of the restructuring paper of March 2018 (total amount \$150M) are thus not applicable to the current \$50M project (as per restructuring of December 2020). Sources: Energy Efficiency in Public Facilities Project (PRESEMEH) (P149872), ISR June 2023 & Restructuring Papers Nos. RES30194 December 2020 and RES46856 October 2021.

¹¹⁴ Sources: Energy Efficiency in Public Facilities Project (PRESEMEH) (P149872), ISR December 2022 & Restructuring Papers Nos. RES30194 December 2020 and RES46856 October 2021.

¹¹⁵ Idem.

¹¹⁶ Source : <https://www.power-technology.com/marketdata/tierra-mojada-combined-cycle-power-plant-mexico/>

¹¹⁷ Source : <https://www.power-technology.com/marketdata/tierra-mojada-combined-cycle-power-plant-mexico/>

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
[IBRD & IFC inputs] (6.5) Additional low-income families with resilient and affordable housing supported by World Bank activities (number, cumulative) (IBRD-IFC) Baseline: 0 (2018) Target: 11,490 (2021) Actual: 27,763 (2022) = 11,459 (IBRD) (Aug-2021)¹¹⁸ + 16,304 (IFC) (2022)¹¹⁹ Achieved (surpassed) Of which woman-headed low-income families (IBRD interventions only) (percentage) Baseline: 48 (2018) Target: 50 (2021) Actual: 52 (Aug-2021)¹²⁰	[IBRD & IFC inputs] (5.4) Households with housing supported by World Bank activities (number, cumulative) (IBRD-IFC) Baseline: 17,405 (2018) PLR Actual: 45,168 (2022)¹²¹ Target: 45,168 (2022) - Of which low-income households with resilient and affordable housing supported by IBRD activities (number, cumulative) (IBRD interventions only) Baseline: 17,405 (2018)¹²² PLR actual: 28,864 (2021)¹²³ Target: 28,864 (2021) Of which woman-headed low-income households (IBRD interventions only)	[IBRD & IFC inputs] Adjusted. The wording, baseline, and target of the main indicator are adjusted in line with the Implementation Completion and Results Report (ICR) figures of IBRD's Improving Access to Affordable Housing Project to facilitate reporting at the CPF Completion stage, and IFC interventions. The target was i) set only until 2021 in line with the closing date of IBRD's intervention and considering no further engagement in the housing sector is foreseen by IBRD and (ii) updated to 2022 for IFC interventions as it is the latest information available and that the outcome of the new projects in IFC's pipeline will likely take time to materialize. New. New sub-indicator to disaggregate low-income persons supported with resilient and affordable housing through IBRD's Improving Access to Affordable Housing Project. Adjusted. Sub-indicator achieved and surpassed.

¹¹⁸ The actual (11,459) reflects the additional low-income families calculated as the actual value as of August 2021 (28,864) minus the low-income families at the baseline year in 2018 (17,405). Sources: Improving Access to Affordable Housing (P157932), Reports No. ICR5484 February 2022 and ICRR22975 June 2022.

¹¹⁹ Sum of all the houses sold by IFC housing clients each year between 2019 and 2022. Their main focus is on sustainable and low-cost housing. Source: DOTS.

¹²⁰ Sources: P157932, Idem.

¹²¹ Sum of the adjusted baseline (17,405) to the 2022 actual data (27,763).

¹²² Idem.

¹²³ Idem.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
	(percentage) Baseline: 48 (2018) Target: 50 (2021) Actual: 52 (Aug-2021) ¹²⁴ - Of which housing units supported by IFC (IFC interventions only) (number, cumulative) Baseline: 0 (2018) PLR Actual: 16,304 (IFC) (2022) ¹²⁵ Target: 16,304 (IFC) (2022)	“Families” replaced with “households” to better reflect IBRD’s beneficiaries. New. New sub-indicator to disaggregate families with housing/residential units supported by IFC interventions.
Objective 7. Support the government in reaching its climate change goals	Objective 6. Support the government in reaching its climate change goals	No change. Remains relevant for the World Bank engagement. Only change in numbering from Objective 7 to Objective 6.
[IBRD & IFC inputs] (7.1) Greenhouse gas emissions avoided or reduced through World Bank project interventions (renewable and energy efficiency, sustainable forests and landscapes management) (tCO ₂) (IBRD-IFC) Baseline: 0 (2018) Target: 9,800,000 (2025) Actual: On track - <i>Net GHG emissions:</i> -4,712,825 (IBRD forest & landscapes) (Aug-2023) ¹²⁶ - <i>GHG Emissions avoided/reduced:</i>	[IBRD & IFC inputs] (6.1) Greenhouse gas emissions: [IBRD input] - Net greenhouse gas emissions of IBRD interventions in sustainable forests and landscapes management (tCO ₂) Baseline: 0 (2018)	[IBRD & IFC inputs] Adjusted. The indicator is disaggregated to reflect separately: (i) IBRD interventions that measure net GHG in forestry and agriculture, and (ii) IFC interventions on renewable energy that measure GHG emission reductions. For IBRD, the targets are adjusted in line with the restructurings of the Sustainable Productive Landscapes Project (TPS) (2023) and the Strengthening Entrepreneurship in Productive Forest Landscapes Projects (2022-23). It also includes the net carbon balance of the Global

¹²⁴ Sources: P157932, Idem.

¹²⁵ Sum of all the houses sold by IFC housing clients each year between 2019 and 2022. Source: DOTS.

¹²⁶ The net carbon balance quantifies greenhouse gases (GHG) emitted or sequestered as a result of IBRD project compared to the “without project” scenario applying the Ex-Ante Carbon-balance Tool (EX-ACT) of the Food and Agriculture Organization of the United Nations (FAO). Project estimated GHGs are calculated for a period of 20 years and constitute a net carbon sink of tons of carbon dioxide equivalent (tCO₂e). Sources: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Papers Nos. Nos. RES43839 February 2022 and RES52894 February 2023; GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023; and GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), Project Appraisal Document, Annex 5.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
3,700,988 (IFC energy) (Dec-2022)¹²⁷ - <i>Projected lifetime GHG emissions reduced: 87,919 (IBRD energy efficiency) (Jun-2023)</i>¹²⁸	PLR Actual: -4,712,825 (Aug-2023)¹²⁹ Target: -4,887,852 (Dec-2024)¹³⁰ [IFC inputs] - Greenhouse gas emissions avoided or reduced through IFC renewable energy project interventions (tCO₂, cumulative) Baseline: 0 (2018) PLR Actual: 3,700,988 (Dec-2022) Target: 6,400,000 (Dec-2024)	Environmental Facility (GEF) Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (CONECTA). For IFC, the targets are adjusted in line with IFC updated estimates. IFC's updated target uses each plant's estimated renewable energy production and the country's average emissions factor for the past two years (2021, 2022). It shows the estimated cumulative emissions reductions between 2019 and 2024, considering 2024 would be the latest available data by the revision time.
[IBRD & IFC inputs] (7.2) Additional area under sustainable landscape management practices supported by World Bank projects (hectares) (IBRD-IFC) Baseline: 0 (2018) Target: 400,000 (2023) Actual: 3,289,065 = 3,284,756 (IBRD) (Aug-	[IBRD & IFC inputs] (6.2) Area under sustainable landscape management and climate-smart practices supported by World Bank projects (hectares) (IBRD-IFC) Baseline: 8,426 (2018)¹³³	[IBRD & IFC inputs] Adjusted. The definition of the indicator and the target are adjusted (upward for IBRD) in line with the restructurings of the Strengthening Entrepreneurship in Productive Forest Landscapes Project (2022-23) and the Sustainable Productive Landscapes Project (2023), as well as the approval of CONECTA (2021). IFC target considers the client's latest available data, as no

¹²⁷ IFC Country Team calculated the GHG emissions avoided or reduced with the support of the Climate Business Department team. It includes the cumulative GHG emissions avoided or reduced by IFC-supported renewable energy projects from 2019 to the last measurement year.

¹²⁸ Sources: Energy Efficiency in Public Facilities Project (PRESEMEH) (P149872), ISR December 2022 & Restructuring Papers Nos. RES30194 December 2020 and RES46856 October 2021.

¹²⁹ The net carbon balance quantifies GHGs emitted or sequestered as a result of IBRD project compared to the "without project" scenario applying the Ex-Ante Carbon-balance Tool (EX-ACT) of the Food and Agriculture Organization of the United Nations (FAO). Project estimated GHGs are expected for a period of 20 years and constitute a net carbon sink of tons of carbon dioxide equivalent (tCO₂e). Sources: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Papers Nos. Nos. RES43839 February 2022 and RES52894 February 2023; GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023; and GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), Project Appraisal Document, Annex 5.

¹³⁰ Sources: P164661, P159835, and P172079.

¹³³ Number of hectares owned by IFC forestry clients that are Forest Stewardship Council (FSC) certified as of 2018. Source: AMRs.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
2023) ¹³¹ + 4,489 (IFC) (2022) ¹³² Achieved (surpassed)	PLR actual: 3,297,491 (Aug-2023) ¹³⁴ Target: 3,971,244 (Feb-2025)	further activity is expected with this client.
[IBRD input] (7.3) Additional beneficiaries implementing sustainable management schemes in rural areas (number) Baseline: 0 (2018) Target: 336,000 (2023) Actual: 117,058 (Jun-2023) = 105,201 IBRD/PROFOEM (March-2023) ¹³⁵ + 11,857 IBRD/TPS (Jun-2023) ¹³⁶ On track - Of which (number) Women Baseline: 0 (2018)	[IBRD input] (6.3) Persons benefitting from the implementation of sustainable management schemes in rural areas (number) Baseline: 67,467 (2018) ¹⁴⁰ PLR actual: 190,769 (May-2023) ¹⁴¹ Target: 209,668 (Feb-2025) ¹⁴² - Of which (number) Women Baseline: 16,882 (2018) ¹⁴³	[IBRD input] Adjusted. The definition of the indicator and the baselines and targets are adjusted in line with the restructurings of the Strengthening Entrepreneurship in Productive Forest Landscapes Project (2022-23), the approval of CONECTA (2021), the implementation of the Sustainable Productive Landscapes Project (2023), and the inclusion of the DGM Project. Adjusted. Downward in line with the restructurings of the Strengthening Entrepreneurship in Productive Forest

¹³¹ Sources: GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023; Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Paper Nos. RES43839 February 2022 and RES52894 February 2023; and GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), Implementing Agency, *Fondo Mexicano para la Conservación de la Naturaleza* (FMCN), monitoring system.

¹³² Difference between the number of hectares owned by IFC forestry clients that are Forest Stewardship Council (FSC) certified as of 2022 and the same number as of 2018. Source: AMRs.

¹³⁴ Source: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Papers Nos. Nos. RES43839 February 2022 and RES52894 February 2023; GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023; GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), Implementing Agency, *Fondo Mexicano para la Conservación de la Naturaleza* (FMCN), monitoring system; and IFC number of hectares owned by IFC forestry clients that are Forest Stewardship Council (FSC) certified as of 2022. Source: AMRs.

¹³⁵ The actual reflects the additional direct beneficiaries calculated as the actual value as of March 2023 (172,668) minus the beneficiaries at the baseline year in 2018 (67,467). It does not include indirect beneficiaries. Sources: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 and Aide Memoire May 2022 and March 2023, and Restructuring Paper RES52894 February 2023.

¹³⁶ Source: GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023.

¹⁴⁰ Sources: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Paper Nos. RES43839 February 2022 and RES52894 February 2023; GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023, Aide Memoire March 2023 & Restructuring Paper No. RES53706 March 2023; GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), ISR June 2023; and Dedicated Grant Mechanism (DGM) for Indigenous Peoples and Communities (P151604), Restructuring Paper No. RES55869, May 2023 and ISR April 2023.

¹⁴¹ Source: P164661, P159835, P172079, and P151604.

¹⁴² Source: P164661, P159835, P172079, and P151604.

¹⁴³ Source: P164661, P159835, P172079, and P151604.

Original CPF Objectives and Outcomes	Revised and New CPF Objectives and Outcomes	Description and Rationale for Change
Target: 67,200 (2023) Actual: 34,998 (Jun-2023) = 30,578 IBRD/PROFOEM (Mar-2023) ¹³⁷ + 4,410 IBRD/TPS (Jun-2023) ¹³⁸ On track Indigenous Peoples (only IBRD/PROFOEM) Baseline: 0 (2018) Target: 110,900 (2023) Actual: 55,039 (March-2023) ¹³⁹ On track	PLR Actual: 53,699 (May-2023) ¹⁴⁴ Target: 58,310 (Feb-2025) Indigenous Peoples (only PROFOEM and DGM) Baseline: 31,166 (2018) ¹⁴⁵ PLR Actual: 88,411 (Mar-2023) ¹⁴⁶ Target: 87,651 (Dec-2023)	Landscapes Project (2022-23), the approval of CONECTA (2021), the inclusion of the DGM, and the implementation of the Sustainable Productive Landscapes Project (2023). Adjusted. Downwards in line with the restructurings of the Strengthening Entrepreneurship in Productive Forest Landscapes Project (2022-23), and the inclusion of the DGM project.
[IFC input] (7.4) Power generated from renewable energy sources supported by World Bank projects (wind, solar) (GWh) Baseline: 0 (2018) Target: 1,510 GWh (2025) Actual: 3,252 GWh (2022) ¹⁴⁷ Achieved (and surpassed)	[IFC input] (6.4) Power generated from renewable energy sources supported by IFC projects (wind, solar) (GWh) Baseline: 0 (2018) Target: 1,510 GWh (2025) Actual: 3,252 GWh (2022) ¹⁴⁸	[IFC input] Adjusted. Indicator achieved and surpassed. Wording adjusted to reflect contribution only from IFC. New projects do not generate energy immediately but several years after the investment. Hence, progress in the next two years is expected to be similar to 2022, considering 2024 would be the latest available data by the revision time.

¹³⁷ The actual reflects the additional direct women beneficiaries calculated as the actual value as of March 2023 (47,460) minus the beneficiaries at the baseline year in 2018 (16,882). It does not include indirect beneficiaries. Sources: P164661, Idem.

¹³⁸ Source: GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023.

¹³⁹ The actual reflects the additional direct indigenous people beneficiaries calculated as the actual value as of March 2023 (86,155) minus the beneficiaries at the baseline year in 2018 (31,166). It does not include indirect beneficiaries. Sources: P164661 Idem.

¹⁴⁴ Source: P164661, P159835, P172079, and P151604.

¹⁴⁵ Source: P164661 and P151604.

¹⁴⁶ Source: P164661 and P151604.

¹⁴⁷ Reports the renewable energy generated in GWh in the last measurement year of the projects supported by IFC. Source DOTS.

¹⁴⁸ Reports the renewable energy generated in GWh in the last measurement year of the projects supported by IFC. Source DOTS.

Annex 3. Matrix summarizing progress toward CPF Objectives.

	Achieved	On track	Off track	Pending data
Focus Areas	Objectives	Objective Indicators	Supplementary Indicators	
A. Supporting more rapid, more inclusive growth	1. Foster financial intermediation and inclusion	1.1. Off track IBRD 1.2. Off track IFC 1.3. On track IBRD	1.1.a. Not Achieved IBRD/IFC 1.2.b. Partially Achieved IFC 1.3.c. Partially Achieved IBRD 1.3.d. Not Achieved IFC/IBRD	
	2. Reduce regulatory and competition barriers to economic growth	2.1. Achieved IBRD 2.2. Partially achieved IFC 2.3. Off track IBRD	2.1.a. Achieved IBRD 2.2.b. Achieved IFC 2.3.c. Not Achieved IBRD	
B. Strengthening institutions for public finance, service delivery, and economic inclusion	3. Enhance the management of public resources	3.1. Off track IBRD 3.2. Off track IBRD 3.3. Off track IBRD 3.4. Off track IFC	3.1.a. Not Achieved IBRD 3.2.b. Achieved IBRD 3.3.c. Not Achieved IBRD	
	4. Strengthen the institutional capacity to deliver inclusive social services	4.1. On track IBRD 4.2. Off track IBRD 4.3. Achieved IFC	4.1.a. Achieved IBRD	
	5. Strengthen the capacity of the social protection system for economic inclusion	5.1. Achieved IBRD 5.2. Achieved IBRD	5.1.a. Achieved IBRD 5.2.b. Achieved IBRD 5.2.c. Achieved IBRD	
C. Enabling sustainable infrastructure and climate action	6. Provide more inclusive and sustainable infrastructure services	6.1. Off track IBRD/IFC/MIGA 6.2. On track IBRD 6.3. Off track IBRD 6.4. Achieved MIGA 6.5. Achieved IBRD/IFC	6.1.a. Not Achieved IBRD 6.3.b. Achieved IBRD 6.5.c. Achieved IBRD	
	7. Support the government in reaching its climate change goals	7.1. On track IBRD/IFC 7.2. Achieved IBRD/IFC 7.3. On track IBRD 7.4. Achieved IFC	7.1.a. Not Achieved IBRD 7.2.b. Mostly Achieved IBRD 7.3.c. Mostly Achieved IBRD 7.4.d. Achieved IFC	

Notes: **IBRD**: International Bank for Reconstruction and Development; **IFC**: International Finance Corporation; **MIGA**: Multilateral Investment Guarantee Agency. **Achieved**: the targets were met on time or ahead of time; **Partially achieved**: half or less of the targets were met and the indicator is dropped in the PLR; **Mostly achieved**: more than half of the targets were met and the indicator is dropped in the PLR; **On track**: more than half of the targets have been met; **Off track**: half or less of the targets have been met.

CPF objective indicators	Supplementary progress indicators	World Bank Group program
Focus Area A. Supporting more rapid, more inclusive growth		
Objective 1. Foster financial intermediation and inclusion		
(1.1) Additional rural microenterprises and SMEs with access to credit through World Bank interventions (number, cumulative) Baseline: 0 (2018) Target: 196,893 (2023) Actual: 21,146 (Dec-2020)¹⁴⁹ Off track [IBRD input] - Of which women-headed (percentage) Baseline: 86 (2018) Target: 90 (2023) Actual: 82.95 (Dec-2020)¹⁵⁰ Off track [IBRD input] - Of which in marginal municipalities (percentage) Baseline: 10.2 (2019) Target: 15 (2023) Actual: 12.9 (Dec-2020)¹⁵¹ Off track	(a) Additional private financial intermediaries that receive capacity building to be self-sustaining through World Bank interventions (IBRD/IFC) (number) Baseline: 0 (2018) Target: 74 (2023) Actual: 25 = 19 (IBRD) (Dec-2020)¹⁵² + 6 (IFC) (Dec-2022)¹⁵³ Not achieved [IBRD & IFC input]	Financial Services <u>Pipeline</u> – IFC investments in banking, microfinance, non-banking financial institutions, financial technology (fintechs), and funds <u>Ongoing</u> – IBRD Promoting Women Economic Opportunities and Sustainable Productivity Growth DPF (P180496) – IBRD Inclusive and Sustainable Economic Growth DPF (P178224) – IFC: Sabadell Mex (40408), Mifel (29030), BBVA Leasing (38504), Konfio (45692/46096), AltumCP II (44744), Altum CKD¹⁵⁴ II (46654), Debt Capital Market (DCM) Asset-Based Lending (ABL) Trust Mx (42055), DCM CRT¹⁵⁵ Santander (39976), DCM Mega Sbond (45878), DCM ABL Arrenda+(46095), Co- Investment CI Crediclub (46497), CERPI¹⁵⁶ Altum (47715), PC Capital II (42204), Klar (43932/45803/46886). <u>Closed</u>

¹⁴⁹ Sources: Expanding Rural Finance Project (P153338), Reports Implementation Completion and Results Report (ICR) No. 5418 June 2021 & Independent Evaluation Group (IEG) ICR Review (ICRR) No. 22630 November 2021.

¹⁵⁰ Idem.

¹⁵¹ Idem.

¹⁵² Idem.

¹⁵³ Includes Financial Institutions Group (FIG) advisory and upstream services from January 2019 to date, counted by financial intermediary. Source: iPortal and IFC Advisory and Upstream Officers.

¹⁵⁴ Certificados de Capital de Desarrollo (Certificates of Capital Development).

¹⁵⁵ Capital Relief Transaction.

¹⁵⁶ Certificados Bursátiles Fiduciarios de Proyectos de Inversión (Investment Trust Certificates).

[IBRD input] (1.2) Microenterprises and SME loans extended by IFC portfolio clients (number, outstanding) (IFC) ¹⁵⁷ Baseline: 693,000 (2018) Target: 1,621,615 (2025) Actual: 750,829 (Dec-2021)¹⁵⁸ Off track [IFC input] - Of which women-headed (number, outstanding) Baseline: 663,893 (2018) Target: 1,500,000 (2025) Actual: 524,832 (Dec-2021) ¹⁵⁹ Off track [IFC input] - Of which in the south (number) Baseline: 123,304 (2018) Target: 326,267 (2025) Actual: Data not available¹⁶⁰	(b) New IFC investments in financial institutions targeting SMEs (number) ¹⁶¹ Baseline: 0 (2018) Target: 18 (2025) Actual: 16 (Jun-2023)¹⁶² Partially Achieved [IFC input]	– IBRD Financial Inclusion DPF (P167674) – IBRD COVID-19 Financial Access DPF (P172863) – IBRD Strengthening Economic Sustainability DPF (P174150) – IBRD Expanding Rural Finance + Additional Financing (AF) (P153338/P169156) – IFC: Camesa (40066), Contigo (38960) – MIGA Bancomext COVID-19 Response (14665) Knowledge services <u>Ongoing</u> – IBRD ASA Finance and Private Sector Policies for Sustainable and Inclusive Growth (P502579) – IFC: Latin America and the Caribbean (LAC) Digital Innovation Lab (602732), LAC SEF Climate Finance (602081), CnC DAEP Mexico (607065), Epayments Solutions (607752) – IFC-IBRD: 30x30 Zero Mexico (606410) <u>Closed</u>
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¹⁵⁷ Includes microloans and SME loans and leases extended by IFC portfolio clients (number, outstanding).

¹⁵⁸ Includes the number of outstanding microloans, small and medium enterprise (SME) loans, and SME leases. (a) 691,841 microloans and SME loans from Development Outcome Tracking System (DOTS) indicators and (b) 58,988 additional microloans and SME loans reported in the Reach Survey by the International Finance Corporation (IFC) portfolio clients Total (a+b): 750,829 as of December 2021. For comparison purposes, the actual figures include Progresemos', Camesa's, and Contigo's portfolio data as of the last measurement year. As of the end of 2021, Camesa and Contigo exited IFC portfolio.

¹⁵⁹ Includes the number of outstanding microloans, SME loans, and SME leases to women and for women-led or owned microenterprises and SMEs. Uses gender data where available. Includes: (a) 519,484 loans to women-owned microenterprises and SMEs from DOTS indicators and (b) 5,348 additional loans to women-owned microenterprises and SMEs reported in the Reach Survey by IFC portfolio clients. Total (a+b): 524,832 as of December 2021. For comparison purposes, the actual figures include Progresemos', Camesa's, and Contigo's portfolio data as of the last measurement year. As of the end of 2021, Camesa and Contigo exited IFC portfolio.

¹⁶⁰ The indicator was estimated with information from two clients (Camesa and Progresemos) that no longer report this information.

¹⁶¹ Includes IFC investments in financial institutions, fintechs, and funds targeting microenterprises and SMEs, and individuals to support financial inclusion (number).

¹⁶² Includes investments committed from January 2019 to date, counted by project ID, in banks, non-banking financial institutions (NBFI), Funds (e.g., debt funds, private equity funds, venture capital funds, trusts), and Fintechs that grant loans, leases, and/or capital to SMEs, micro-enterprises, and/or individuals. Source: IFC Dashboard, IFC Program and Pipeline Report, and projects' Board Papers.

- to be dropped [IFC input]		– IBRD Advisory Services and Analytics (ASA) Catalyzing Financial Sector Development, including Asset based lending (IBRD-IFC) – IBRD ASA Sound Financial Sector Development (P179723) – IBRD ASA Pensions and Capital Market Development (P172249) – IBRD ASA Mexico Financial Inclusion Global Initiative (P167371) – funded by Bill and Melinda Gates Foundation – IBRD ASA Financial Sector reforms to support sustainable and inclusive post COVID recovery (P177756) – IBRD ASA Strengthening <i>Banco del Bienestar</i> (P176457) – IBRD ASA Financial Sector Assessment Program (FSAP) Update (P178110) – IBRD ASA Cross Listing of securities between Mexico and Northern Triangle countries (P177733) – IFC: Progresemos (603142), Women SME financing study (601648), Citibanamex Banking of Women SME (606134)
(1.3) Users and payments through new digital payments (CoDI) electronic payment platform (number) Baseline: 0 users, 0 transactions (2018) Target: 25 million users, 40 million transactions (2024) Actual: 17,878,857 users, 8,729,920 transactions (Jul-2023)¹⁶³ On track [IBRD input]	(c) Municipalities with at least one access point (percentage) Baseline: 76.4 (2018) Target: 85.0 (2024) Actual: 79 (2021)¹⁶⁴ Partially Achieved [IBRD input] (d) An improved policy framework by the Banking Commission that entails the Asset Based Lending (ABL) product approval and revised provisioning to take into account the value of movable collateral (yes/no) (IFC-World Bank) Baseline: No (2018) Target: Yes (2022) Actual: No (2022)¹⁶⁵ Not achieved [IBRD & IFC input]	
Objective 2. Reduce regulatory and competition barriers to economic growth		
(2.1) Subnational entities that changed subnational laws and regulations to introduce pro-competitive regulatory framework in sectors, including transport, telecom, and retail	(a) National policy designed and implemented by the National Commission on Regulatory Improvement (CONAMER) to address subnational anticompetitive regulation (text)	Financial services <u>Pipeline</u>

¹⁶³ See number of validated accounts and transactions at: <https://www.banxico.org.mx/sistemas-de-pago/codi-cobro-digital-banco-me.html>

¹⁶⁴ Source: *Panorama Anual de Inclusión Financiera 2022*, Objective 3 at: [HYPERLINK "https://www.gob.mx/cnbv/acciones-y-programas/divulgacion-de-inclusion-financiera-26625"](https://www.gob.mx/cnbv/acciones-y-programas/divulgacion-de-inclusion-financiera-26625)

¹⁶⁵ A draft Resolution on the Regulatory Treatment of Asset Based Lending (ABL) ("*Resolución que Establece los Requisitos de Caracter General Aplicables a las Instituciones de Crédito en Materia de Algunos Tipos de Garantías Mobiliarias*") was prepared in conjunction with the National Banking and Securities Commission (CNBV) and submitted in December 2021, under IBRD ASA Catalyzing Financial Sector Development in Mexico (P161933). However, due to changes in the government, the resolution was not published.

(number) Baseline: 0 (2018) Target: 15 (2022) Actual: 41 (2023) ¹⁶⁶ Achieved (surpassed) [IBRD input]	Baseline: adoption of guidelines (2019) Target: under implementation (2022) Actual: Yes, under implementation (2023) ¹⁶⁷ Achieved [IBRD input]	– IBRD Strengthening Agriculture and Food Systems by Promoting Access to Finance (AGROINCLUYE) (P175940) – IFC investments in digital infrastructure and related to nearshoring. Ongoing – IFC TMT: VMM (33958), Project KIO (46638) Closed – IBRD Strengthening Economic Sustainability DPF (P174150) – IBRD Grain Storage and Information for Agricultural Competitiveness (P160570) – IFC TMT: Altan (38474), Odata MX (45309) Dropped – IBRD AF Grain Storage and Information for Agricultural Competitiveness (P169339) Knowledge services Ongoing – IBRD ASA Finance and Private Sector Policies for Sustainable and Inclusive Growth (P502579) – IBRD ASA Enhancing Productivity Policies in Mexico (P179940)
(2.2) Population covered by wireless broadband network through Red Compartida (percentage) (IFC) Baseline: 35.6 (2018) Target: 92 (2024) Actual: 70.66 (January 2022) ¹⁶⁸ Partially achieved [IFC input] - Of which rural population (million) Baseline: 5.8 (2018) Target: 14 (2025) Actual: Data not available [IFC input]	(b) Additional states covered with Red Compartida (number) (IFC) Baseline: 0 (2018) Target: 17 (2024) Actual: 17 (Dec-2022) ¹⁶⁹ Achieved [IFC input]	
(2.3) Beneficiaries using grain storage facilities and accessing grain market information enabled by World Bank interventions in the south and	(c) Volume of grains stored by World Bank-financed project-supported storage facilities (number, tons)	

¹⁶⁶ Includes 37 municipal and 4 state regulations. In all cases, the PROREFORMA certificate was received. The information is available at:

<https://conamer.gob.mx/certificaciones/Certificaciones/?filter=PROREFORMA&vallsFilter=1>

¹⁶⁷ The 41 PROREFORMA certificates, mentioned in the CPF objective indicator, were obtained thanks to the use of the CONAMER guidelines for telecommunications regulation and the application of PROREFORMA.-The telecommunications guidance document is available at:

https://www.gob.mx/cms/uploads/attachment/file/566631/Infraestructura_de_Telecom_portal.pdf. The PROREFORMA guidelines are available at:

https://dof.gob.mx/nota_detalle.php?codigo=5560687&fecha=20/05/2019#gsc.tab=0

¹⁶⁸ Population coverage published by Altan Redes (Red Compartida's concessionaire) on its website (<https://www.altanredes.com/por-que-la-red-compartida/#1589568379878-ae5531ec-ca28>).

¹⁶⁹ Number of Mexican States covered by the Red Compartida, in addition to Aguascalientes, Ciudad de Mexico, Colima, Estado de Mexico, Guanajuato, Hidalgo, Jalisco, Michoacán, Morelos, Nayarit, Nuevo León, Puebla, Querétaro, Veracruz, and Zacatecas. As of December 2022, 17 additional states are covered with Red Compartida: Baja California, Baja California Sur, Campeche, Chiapas, Chihuahua, Coahuila, Durango, Guerrero, Oaxaca, Quintana Roo, San Luis Potosí, Sinaloa, Sonora, Tabasco, Tamaulipas, Tlaxcala, and Yucatán. Source: Promtel website (<https://www.redcompartida.igg.unam.mx/geoportal/dashboardPromtelPublic>).

southern states (number) Baseline: 0 (2018) Target: 12,500 (2022) Actual: 1,422 (May-2020)¹⁷⁰ Off track [IBRD input] - Of whom are female (percentage) Baseline: 0 (2018) Target: 50 (2022) Actual: 23.3 (May-2020)¹⁷¹ Off track [IBRD input]	Baseline: 0 (2018) Target: 500,000 (2022) Actual: 10,000 (Jan-2020)¹⁷² Not achieved [IBRD input]	– IFC Nearshoring Central America, Colombia, Mexico (CACM) (607870) <u>Closed</u> – IBRD ASA Strengthening Business Regulatory Environment (work with CONAMER) (P173954) – IBRD ASA Female Entrepreneurship Impact Evaluation Follow Up (P165672) – IBRD ASA Understanding Drivers of Productivity to Unleash Growth in Mexico (P170829) – IBRD ASA Flagship on Female Labor Force Participation (P171008) – IBRD ASA Female Labor Force Participation and Gender Analytics (P174711) – IBRD ASA Promoting Gender Equality and Women’s Labor Force Participation (and P176952) – IBRD ASA Supporting COVI-19 and Priority Programs in Agriculture (P173171) – IBRD ASA Evaluating “Producción para el Bienestar–” - Policies for Green, Resilient and Inclusive Agro-Food System Developed in Mexico (P177835) – IBRD ASA Supporting Private Sector Firm Recovery and Productivity Growth in the aftermath of COVID-19 (P175229) – IBRD ASA Spurring COVID-19 Firm Recovery and Productivity Growth (P177889). <u>Dropped</u> - IBRD ASA Identifying Opportunities to Strengthen the Mexican Agri-Food System (P168099)
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¹⁷⁰ Sources: Grain Storage and Information for Agricultural Competitiveness (P160570), Reports Nos. ICR5181 July 2020 & ICRR22293 June 2021.

¹⁷¹ Idem.

¹⁷² Idem.

CPF objective indicators	Supplementary progress indicators	World Bank program
Focus Area B. Strengthening institutions for public finance, service delivery, and economic inclusion		
Objective 3. Enhance the management of public resources		
(3.1) Population captured by the single identification system (percentage) Baseline: 0 (2018) Target: 100 (2025) Actual: 0 (2023) ¹⁷³ Off track [IBRD input]	(a) Policies and recommendations for the development and implementation of an identity management system approved (yes/no) Baseline: No (2018) Target: Yes (2022) Actual: No (2023) ¹⁷⁴ Not achieved [IBRD input]	Financial services <u>Ongoing</u> – IBRD Women Economic Opportunities DPF (P180496) – IBRD Modernization of Public Financial Management Systems in Mexico (P169959) – IBRD Inclusive and Sustainable Economic Growth DPF (P178224) <u>Closed</u> – IBRD Financial Inclusion DPF (P167674) – IBRD COVID-19 Financial Access DPF (P172863) – IBRD Strengthening Economic Sustainability DPF (P174150) <u>Cancelled</u> – IBRD National Digital Identity System Project (P172647)
(3.2) Share of the federal budget directly executed through the Integrated Financial Management Information System (percentage) Baseline: 75 (2018) Target: 88 (2025) Actual: 75 (2023) ¹⁷⁵ Off track [IBRD input]	(b) Additional state governments that have prepared adequate medium-term fiscal frameworks (number) Baseline: 0 (2018) Target: 7 (2022) Actual: 24 (2023) ¹⁷⁶ Achieved [IBRD input]	Knowledge services <u>Pipeline</u> – IFC PPP advisory projects. <u>Ongoing</u>
(3.3) Reduction in the time to produce consolidated budget execution information (days) Baseline: 30 (2018) Target: 7 (2025) Actual: 30 (2023) ¹⁷⁷	(c) The Secretariat of Finance and Public Credit (SHCP) uses information from a common data warehouse primarily fed by the Integrated Financial Management Information System (yes/no) Baseline: No (2018)	

¹⁷³ Source: National Digital Identity System Project (P172647), World Bank Records August 2022.

¹⁷⁴ Idem.

¹⁷⁵ Source: Modernization of Public Financial Management Systems in Mexico (P169959), Implementation Status & Results Report (ISR) June 2023.

¹⁷⁶ The actual reflects the additional 24 states (adding up to the total 32 states in Mexico) that have prepared medium-term fiscal frameworks (MTFFs) minus the eight (8) states that had already prepared MTFFs in 2018. Adequate MTFFs are required by the *Ley de Disciplina Financiera de las Entidades Federativas y los Municipios* (LDFEFM) for states that want debt restructuring operations using federal guarantees. Beneficiary states need to prepare fiscal adjustment plans based on MTFFs. At CPF approval, there were eight (8) states as potential candidates for this type of debt restructuring. IBRD helped Coahuila, Nuevo Leon, Quintana Roo, and Michoacan, the other four (4) states were supported by Inter-American Development Bank. Given the improved fiscal situation of the states, none requested debt restructuring operations with the Secretariat of Finance and Public Credit (SHCP), yet all the states are still required to prepare MTFFs in their yearly budgets. Source: public websites of the 32 states available in the PLR project records.

¹⁷⁷ Source: P169959 Idem.

CPF objective indicators	Supplementary progress indicators	World Bank program
Off track [IBRD input]	Target: Yes (2023) Actual: No (2023) ¹⁷⁸ Not achieved [IBRD input]	– IBRD ASA Improving Transparency and Accountability Mechanisms in the Federal Public Administration (P160357) – IBRD ASA Country Economic Memorandum in selected Southern States (P172313) – IBRD ASA Fiscal and Growth Policy Dialogue (P179943) – IBRD ASA Supporting Financial preparedness and Sustainable Inclusive Cities in Mexico (P174703)
(3.4) Public-private partnership (PPP) transactions facilitated by IFC (number) (IFC) Baseline: 0 projects (2018) Target: 8 projects (2025) Actual: 2 (Jun-2023) ¹⁷⁹ Off track [IFC input]	-	<u>Closed</u> – IBRD ASA Mexico Financial Inclusion Global Initiative (FIGI) (P167371) – IBRD ASA Productivity Report to unleash growth in Mexico (P170829) – IBRD ASA Public Finance Review (PFR) (P172310) – IBRD ASA Distributional Impact of Fiscal Policy (P171007) – IBRD ASA COVID-19 Distributional Impact and Mitigating Policies (P174444) – IBRD ASA Fiscal Management Support at the subnational level (P178238) – IFC Los Cabos Water advisory project (604179)
Objective 4. Strengthen the institutional capacity to deliver inclusive social services		
(4.1) States that adopt the revised national early childhood development strategy's governance model for better coordination across sectors and governmental levels (percentage) Baseline: 15 (2018)	(a) Multisector early childhood development strategy approved by the authorities (yes/no) Baseline: No (2018) Target: Yes (2022)	Financial services <u>Pipeline</u> – IFC investments in healthcare providers, pharmaceuticals, and education services

¹⁷⁸ Idem.

¹⁷⁹ The progress includes the Desalination Plant and the Non-revenue Water under the Los Cabos Water advisory project (ID 604179). Both projects were successfully awarded in May 2021. Source: iPortal and projects.

CPF objective indicators	Supplementary progress indicators	World Bank program
Target: 100 (2025) Actual: 97 (December 2022) ¹⁸⁰ On track [IBRD input]	Actual: Yes (March 2022) ¹⁸¹ Achieved [IBRD input]	Ongoing – IFC Pharma: Genomma Lab (40144/43815), Neolpharma (39128), Siegfried Rhein (42036) – IFC Healthcare: Sala Uno (33770), Clínicas del Azúcar (40669). Closed – IFC: Hospitaria (30281) Knowledge services Pipeline – IFC advisory and upstream services in healthcare and education Ongoing – IBRD ASA Poverty Assessment (P179488) – IBRD ASA Core Poverty and Equity Programmatic (P180251) – IBRD ASA Strengthening Education Trajectories: Policy Responses and Actions (P500555) – IBRD ASA Health Sector Financial Sustainability and Resilience (P179882) – IFC Health: Neolpharma Active Pharmaceutical Ingredients (API) (606542)
(4.2) States in the south that have piloted new integrated health networks (percentage) Baseline: 0 (2018) Target: 50 (2025) Actual: 0 (2023) ¹⁸² Off track [IBRD input]	-	
(4.3) Additional low-income patients benefiting from the healthcare services of IFC clients (number) (IFC) ¹⁸³ Baseline: 0 (2018) Target: 39,600 (2022) Actual: 51,199 (2022) ¹⁸⁴ Achieved (surpassed) [IFC input]	-	

¹⁸⁰ Source: National System for the Protection of Girls, Boys and Adolescents (SIPINNA).

¹⁸¹ Source: Official Gazette (DOF). https://dof.gob.mx/nota_detalle.php?codigo=5646122&fecha=18/03/2022#gsc.tab=0

¹⁸² This technical work did not materialize, and the integrated health networks as envisaged at CPF preparation were not implemented. Moreover, with the dismantling of Seguro Popular, the Secretariat of Health developed a new health Care model (MAS Bienestar). This new model, however, has not been implemented in all the states because it requires a new legal framework.

¹⁸³ The wording of the indicator is adjusted to better reflect IFC interventions: additional patients benefitting from the healthcare services of IFC clients (number).

¹⁸⁴ "Patients": patients attended by IFC healthcare clients (excludes pharmaceutical companies). "Low income": data per income group is not provided by IFC clients. The results below refer to all the clients attended by IFC healthcare clients. However, all three clients' main focus is on low-income population. The progress was calculated as the difference between the number of patients attended by IFC healthcare clients during the year 2022 and the number of patients attended by IFC healthcare clients during the year 2018. Since the indicator includes the term "additional", only positive values were considered (e.g., if the number of patients of an IFC healthcare client decreased between 2018 and 2022, the decrease was not included in the overall result calculation.). The actual figure includes Hospitaria's portfolio data as of the last measurement year. As of the end of 2019, Hospitaria exited IFC portfolio. Sources: Development Outcome Tracking System (DOTS), AMRs, and IFC Portfolio Officer.

CPF objective indicators	Supplementary progress indicators	World Bank program
		<u>Closed</u> – IBRD ASA Contributing to Mexico’s Early Childhood Care and Education (ECCE) and learning recovery strategies (P179393) – IBRD ASA ECCE to promote equity in Mexico (P177138) – IBRD ASA Enhancing the Equity Agenda in Education (P171749) – IBRD ASA Strengthening the Equity Agenda in Education in Mexico (P174858) – IBRD ASA Support Primary Health Care in Mexico (P171718) and Health Sector and Risks Dialogue (P175270) – IBRD ASA Pandemic Preparedness and Building Back Better (P177187) – IFC Vocational and Technical Education advisory project (605465)
Objective 5. Strengthen the capacity of the social protection system for economic inclusion		
(5.1) Integrated Social Protection Centers established (number) Baseline: 0 (2018) Target: 600 (2021) Actual: 10,936 (June-2021) ¹⁸⁵ Achieved (surpassed) [IBRD input] - Of which in municipalities with high indigenous population (percentage) Baseline: 0 (2018)	(a) Impact evaluation produced and disseminated on a multisectoral pilot intervention supporting youth school-to-work transitions (text) Baseline: no impact evaluation (2018) Target: impact evaluation produced and disseminated (2021) Actual: Impact evaluation produced and disseminated (2021) ¹⁸⁷ Achieved [IBRD input]	Financial services <u>Closed</u> – IBRD Social Protection Project + Additional Financing (also P147212) Knowledge services <u>Ongoing</u> – IBRD ASA MX Social Protection and Labor Engagement and Analytics-II (P179490) – IBRD ASA Climate and Environmental Migrants

¹⁸⁵ Sources : Social Protection Project (P147212), Reports Nos. ICR5632 December 2021 & ICRR22884 March 2022.

¹⁸⁷ Sources: ASA Youth Labor Market Inclusion (P163362), Annual Progress Review March 2022. Link to published academic paper with impact evaluation results:
<https://documents1.worldbank.org/curated/en/099638511172227750/pdf/IDU0f413d1c0085320451a0b09205fa6e11c0977.pdf>

CPF objective indicators	Supplementary progress indicators	World Bank program
Target: 50 percent, 300 centers (2021) Actual: 22 percent, 2,410 centers (June-2021) ¹⁸⁶ Achieved [IBRD input]		Country Note (P181289) <u>Closed</u> – IBRD ASA Mexico Youth Labor Market Inclusion (P163362) – IBRD ASA Social Protection and Labor Engagement (P163477) – IBRD ASA Social Protection and Labor Support for Response to COVID-19 (P173870) – IBRD ASA Social Protection and Labor Engagement and Analytics (P177651) – IBRD ASA Strengthening Mexico’s Social Protection System for Disaster Preparedness and Response (P166717) – IBRD ASA Distributional Impact of Fiscal Policy (P171007) – IBRD ASA Flagship on Female Labor Participation (P171008) – IBRD ASA Female Labor Force Participation and Gender Analytics (P174711) – IBRD ASA Promoting Gender Equality and Women’s Labor Participation (P176952) – IBRD ASA Analysis of Occupations and Skills in Demand (P171858) – IBRD ASA Pension Engagement: Reforming Pensions in Mexico (P172600) and Reforming Pensions in Mexico II (P177366)
(5.2) Number of states where the National Employment Service has implemented modern processes to promote economic inclusion (number) Baseline: 0 (2018) Target: 32 (2024) Actual: 32 (2023) ¹⁸⁸ Achieved [IBRD input]	(b) People receiving employment services from the offices of the National Employment Service that are piloting modern processes to promote economic inclusion (number) Baseline: 0 (2018) Target: 30,000 (2025) Actual: 354, 393 (2022) ¹⁸⁹ Achieved [IBRD input] - Of which female (percentage) Baseline: 0 (2018) Target: 50 (2025) Actual: 41.3 (2022) Mostly Achieved [IBRD input]	
-	(c) Assessment of the capacity of Oaxaca’s social protection system to respond to natural disasters completed and specific improvements implemented (yes/no) Baseline: No (2018) Target: Yes (2022)	

¹⁸⁶ Source: P147212 Idem.

¹⁸⁸ Source: data provided by the National Employment Service (SNE) agency in connection with the ASA Mexico Social Protection and Labor Engagement (P163477).

¹⁸⁹ Source: preliminary figures up to 2022 available in https://www.gob.mx/cms/uploads/attachment/file/791501/C_lculos_MIR_2022_PAE_a_diciembre.pdf in connection with the ASA Mexico Social Protection and Labor Engagement (P163477) and Analysis of Labor Demand (P171858).

CPF objective indicators	Supplementary progress indicators	World Bank program
	Actual: Yes (2022) ¹⁹⁰ Achieved [IBRD input]	
Focus Area C. Enabling sustainable infrastructure and climate action		
Objective 6. Provide more inclusive and sustainable infrastructure services		
(6.1) Additional private finance mobilization for infrastructure supported by World Bank activities (US\$ volume) (IBRD, IFC, and MIGA) (cumulative) ¹⁹¹ Baseline: 0 (2018) Target: 5 billion (2025) Actual: 1.95 billion = 569 million (IBRD) ¹⁹² + 849	(a) Establishment of a fund to leverage the National Infrastructure Fund (FONADIN) assets (yes/no) Baseline: No (2018) Target: Yes (2022) Actual: No (2023) ¹⁹⁵ Not achieved	Financial services <u>Pipeline</u> – IFC investments and mobilization in power, transport, logistics, water, waste, telecom, media, and technology (TMT) <u>Ongoing</u>

¹⁹⁰ Source: Assessment completed as part of deliverables of Social Protection ASA (P173870), building on previous analytical work under Strengthening Mexico's Social Protection System for Disaster Preparedness and Response (P166717). Explicit references are made to the IBRD support in Oaxaca's Annual Report 2020-2021 (http://www.transparenciapresupuestaria.oaxaca.gob.mx/pdf/rendicion_cuentas/informes_gobierno/2017-2022/4to%20informe.pdf, pp. 97-98): and 2021-2022 (http://www.transparenciapresupuestaria.oaxaca.gob.mx/pdf/rendicion_cuentas/informes_gobierno/2017-2022/5to%20informe.pdf, pp. 104).

¹⁹¹ Includes IFC own account investments for infrastructure (US\$ volume, cumulative).

¹⁹² FONADIN 2.0 Project (P171904) was dropped in 2022. However, Through the Women Economic Opportunities DPF (P180496), IBRD supported the government's measures to increase financing for low-carbon and gender-inclusive infrastructure and reconstruction of public services after climate disasters aiming to increase the availability of low-carbon and climate-resilient infrastructure and services that particularly benefit women. This is evidenced by Mexico's state-owned development bank, BANOBRAS, Sustainable Bonds with a Gender Perspective Reference Framework dated September 13, 2022, and Sustainability's second-party opinion dated August 19, 2022, both published in BANOBRAS' website. Source: Women Economic Opportunities DPF (P180496), Project Appraisal Document (PAD), Report No. PGD417. As of September 2023, BANOBRAS has issued Sustainable Bonds with Gender perspective for US\$569 million. Source: BANOBRAS, Press Releases October 20, 2022, <https://www.gob.mx/BANOBRAS/articulos/BANOBRAS-coloco-7-500-mdp-a-traves-de-tres-bonos-en-el-mercado-local-de-deuda-dos-de-ellos-sustentables-con-perspectiva-de-genero?idiom=es> and March 15, 2023, https://www.gob.mx/cms/uploads/attachment/file/809712/Bolet_n_002_BANOBRAS_coloco_con_exito_tres_bonos_en_el_mercado_local_de_deuda_dos_de_ellos_sustentables_con_perspectiva_de_genero.pdf. In addition, through the Strengthening Economic Sustainability DPF (P174150), IBRD helped established the government's Sustainable Development Goals (SDG) Sovereign Bonds Framework, the first of its kind in Latin America, which allows the proceedings of the issuance of sovereign bonds to be linked to eligible projects on sustainable assets and expenditures that support the fulfillment of the most pressing SDGs, as evidenced by the "Plan Anual de Financiamiento 2020 (PAF 2020)" published on January 30, 2020 in the Secretariat of Finance and Public Credit's website. On September 14, 2020, Mexico became the first country in the world to issue a sustainable sovereign SDG-linked bond for EUR 750 million. This was followed on July 6, 2021, by the issuance of a further SDG-linked 7-year bond with a face value of EUR 1,250 million. On May 2, 2022, the government issued 2- and 6-year peso denominated bonds amounting to MX\$ 20 billion (USD 980 million). Further 3- and 6-year bonds were issued on July 21, 2022, with a combined face value of MX\$ 15 billion (USD 726 million), while 1, 2, and 3- year bonds were issued on December 1, 2022, for a combined face value of MX\$ 10 billion (USD 522 million). On August 8, 2022, the government issued a 10-year USD 2.2 billion bond, and on August 26, 3, 5, 10, 15, and 20-year yen-denominated bonds were issued with a combined face value of JPN 75.6 billion (USD 550 million). Thus, by end-2022, a cumulative USD 7 billion of sovereign bonds had been issued under the SDG Framework⁴⁷, while incipient yield curves had been established in multiple currencies. Furthermore, there is evidence of Mexico's SDG-linked bonds attracting a modest "greenium."

¹⁹⁵ FONADIN 2.0 Project (P171904) was dropped in 2022.

CPF objective indicators	Supplementary progress indicators	World Bank program
million (IFC) (Jun-2023) ¹⁹³ + 536 million (MIGA) (2023) ¹⁹⁴ Off track [IBRD, IFC & MIGA inputs]	[IBRD input]	– IBRD Women Economic Opportunities DPF (P180496) – IBRD Inclusive and Sustainable Economic Growth DPF (P178224) – IBRD Water Security and Resilience of the Valley of Mexico (P164389) – IBRD Energy Efficiency in Public Facilities Project (PRESEMEH) + Additional Financing and GEF (P149872) – IFC Electric Power: Potrero Solar (41297), IEnova (42260), Perote (41041) – IFC TMT: Project KIO (46638) – MIGA CFE Hydropower Rehabilitation Program (15033)
(6.2) People in selected urban areas with improved water supply reliability or water service quality supported by IBRD-financed projects (number) Baseline: 0 (2018) Target: 5,950,000 (2025) Actual: 331,564 (June-2023)¹⁹⁶ On track [IBRD input] - Of whom in the south (number) Baseline: 0 (2018) Target: 650,000 (2025) Actual: 331,564 (Jan-2021)¹⁹⁷ Partially achieved [IBRD input] - Of whom are female (percentage) Baseline: 0 (2019) Target: 52 (2025) Actual: 52.8 (Jan-2021)¹⁹⁸		<u>Closed</u> – IBRD Improving Access to Affordable Housing (P157932) – Oaxaca WSS Sector Modernization (P145578) – IFC TMT: Altan (38474), Odata MX (45309) – MIGA Tierra Mojada Power Plant (13880) <u>Dropped</u> – IBRD National Infrastructure Fund (FONADIN) 2.0 (P171904)

¹⁹³ Sums IFC own account and mobilization amounts reported from 2019 to date of the Infra Industry Group projects (all sectors), as well as of the PPP Advisory Group projects (PPP/CTA/C3P) related to infrastructure (e.g., energy, telecom, water, waste, transportation, among others). Source: IFC Dashboard and IFC Program and Pipeline Reports.

¹⁹⁴ MIGA CFE Hydropower Rehabilitation Program Project signed in June 2023.

¹⁹⁶ Sources: Oaxaca WSS Sector Modernization Project (P145578), Reports Nos. ICR5544 December 2021 and ICRR22839 June 2022; Water Security and Resilience of the Valley of Mexico (PROSEGHIR, P164389), ISR June 2023. On PROSEGHIR, only when the project starts investing in dam safety assessments/rehabilitation – and give it time to have an effect on reliability, IBRD will be able to report on the number of beneficiaries served with improved water reliability by the Cutzamala Water System. At PLR stage, disaggregated attributed to the small maintenance works and goods acquisition that have been financed so far is not possible.

¹⁹⁷ Source: P145578 Idem.

¹⁹⁸ Idem.

CPF objective indicators	Supplementary progress indicators	World Bank program
Achieved [IBRD input]		Knowledge services (incl. RAS) <u>Pipeline</u>
(6.3) Projected additional lifetime energy savings due to energy efficiency projects in public facilities (GWh) (cumulative) Baseline: 0 (2018) Target: 1,029 (2025) Actual: 184.8 (June-2023) ¹⁹⁹ Off track [IBRD input]	(b) Additional streetlight, water and wastewater, municipal building, and public facility energy efficiency interventions supported by World Bank interventions (number) Baseline: 0 (2018) Target: 25 (2021) Actual: 42 (Nov-2022) ²⁰⁰ Achieved [IBRD input]	– IFC advisory and upstream services in water, waste, transport, energy, and TMT <u>Ongoing</u> – IBRD ASA Innovative Energy Technologies for low-carbon development (P177694) – IBRD ASA Green and Resilient Transport (P177279) – IBRD RAS Reforming Mexico's Federal Support Program for Mass Transit (P180226) – IBRD ASA Supporting Financial preparedness and Sustainable Inclusive Cities in Mexico (P174703) – IBRD ASA Toward integrated disaster risk management (DRM) and risk financing in Mexico (P180436) – IFC Waste: Circularity LAC (607005) <u>Closed</u>
(6.4) Total power generated (gigawatt hour, GWh per annum) (MIGA) Baseline: 0 (2018) Target: 5,190 (2025) Actual: 5,828 (2021) ²⁰¹ Achieved [MIGA input]		– IBRD ASA Opportunities for Geothermal Development in Mexico (P167058) – IBRD ASA Resilient Housing and Schools in Mexico (P171759) – IBRD ASA Support for Safe School Reconstruction (P166393)
(6.5) Additional low-income families with resilient and affordable housing supported by World Bank activities (number, cumulative) (IBRD-IFC) ²⁰² Baseline: 0 (2018) Target: 11,490 (2021) Actual: 27,763 (2022) = 11,459 (IBRD) (Aug-	(c) Resilient and affordable housing community dissemination campaigns targeting indigenous populations designed and implemented (yes/no) Baseline: No (2018) Target: Yes (2021) Actual: Yes (Aug-2021) ²⁰⁶ Achieved [IBRD input]	

¹⁹⁹ The actual reflects the additional energy savings calculated as the actual value as of June 2023 (184.8 GWh) minus the savings at the baseline year in 2018 (56 GWh), hence 128.8 GWh. The Project has been restructured four times. The targets included in the Project Appraisal Document (PAD) 2016 (Loan Amount of \$100M) and those of the restructuring paper of March 2018 (Total amount \$150M) are thus not applicable to the current \$50M project (as per restructuring of December 2020). Sources: Energy Efficiency in Public Facilities Project (PRESEMEH) (P149872), ISR June 2023 & Restructuring Papers Nos. RES30194 December 2020 and RES46856 October 2021.

²⁰⁰ Source: P149872 Idem.

²⁰¹ Source: <https://www.power-technology.com/marketdata/tierra-mojada-combined-cycle-power-plant-mexico/>

²⁰² The indicator is adjusted to better reflect IFC interventions: families with residential units supported by IFC (number).

²⁰⁶ Source: P157932 Idem.

CPF objective indicators	Supplementary progress indicators	World Bank program
2021) ²⁰³ + 16,304 (IFC) (2022) ²⁰⁴ Achieved (surpassed) [IBRD & IFC inputs] - Of which woman-headed low-income families (IBRD interventions only) (percentage) Baseline: 48 (2018) Target: 50 (2021) Actual: 52 (Aug-2021) ²⁰⁵ Achieved [IBRD input]		– IBRD ASA Improving Housing Resilience (P169278) – IBRD ASA Gender Based Violence in Urban Mobility and Public Transport (P163705) – IBRD ASA Strengthening Water Security in Mexico (P172159) – IBRD ASA Exploring Pathways to Improved Water Security in Mexico (P177521) – IFC Energy: Ammonia Market Study (606147), Regenera Distributed Generation and Energy Efficiency Platform (606297), Mexico Battery Storage Study (603363) – IFC Water: Water Reuse in Mexico City (605889) – IFC Mexico Subnational Financing (606172)
Objective 7. Support the government in reaching its climate change goals		
(7.1) Greenhouse gas emissions avoided or reduced through World Bank project interventions (renewable and energy efficiency, sustainable forests and landscapes management) (tCO ₂) (IBRD-IFC) Baseline: 0 (2018) Target: 9,800,000 (2025) Actual: <i>Net GHG emissions</i> (IBRD forest & landscapes): -4,712,825 (Aug-2023) ²⁰⁷	(a) Policy instruments aligned Secretariat of Environment and Natural Resources (SEMARNAT), Secretariat of Agriculture, Livestock, Rural Development, Fisheries, and Food (SAGARPA), Secretariat of Agriculture and Rural Development (SADER), and the National Forestry Commission (CONAFOR) to support priority local investments in priority regions (number) Baseline: 0 (2018)	Financial services <u>Pipeline</u> – IFC investments in clean energy, climate-smart cities, climate-smart agribusiness, low-carbon manufacturing, green buildings and green finance <u>Ongoing</u> – IBRD Inclusive and Sustainable Economic Growth DPF (P178224)

²⁰³ The actual (11,459) reflects the additional low-income families calculated as the actual value as of August 2021 (28,864) minus the low-income families at the baseline year in 2018 (17,405). Sources: Improving Access to Affordable Housing (P157932), Reports No. ICR5484 February 2022 and ICRR22975 June 2022.

²⁰⁴ Sum of all the houses sold by IFC housing clients each year between 2019 and 2021. Their main focus is on sustainable and low-cost housing. Source: DOTS.

²⁰⁵ Source: P157932 Idem.

²⁰⁷ The net carbon balance quantifies greenhouse gases (GHGs) emitted or sequestered as a result of IBRD project compared to the “without project” scenario applying the Ex-Ante Carbon-balance Tool (EX-ACT) of the Food and Agriculture Organization of the United Nations (FAO). Project estimated GHGs are calculated for a period of 20 years and constitute a net carbon sink of tons of carbon dioxide equivalent (tCO₂e). Sources: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 &

CPF objective indicators	Supplementary progress indicators	World Bank program
<i>GHG emissions avoided/reduced</i> (IFC renewables): 3,700,988 (Dec-2022)²⁰⁸ <i>Projected lifetime GHG emission reductions</i> (IBRD energy efficiency): 87,919 (June-2023)²⁰⁹ On track [IBRD & IFC inputs]	Target: 7 (2023) Actual: 0 (June-2023)²¹⁰ Not achieved [IBRD input]	– IBRD Strengthening Entrepreneurship in Productive Forest Landscapes (P164661) – IBRD Energy Efficiency in Public Facilities Project (PRESEMEH) + Additional Financing and GEF (P149872) – IBRD GEF Sustainable Productive Landscapes Project (P159835) – IBRD GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079) – IBRD Dedicated Grant Mechanism for (DGM) IP and LC (P151604) – IFC Agriculture and Forestry: Bioparques (37826), Puertas Finas (33550/36529) – IFC Electric Power: Solem (40372/40374), Potrero Solar (41297), IEnova (42260), Perote (41041).
(7.2) Additional area under sustainable landscape management practices supported by World Bank projects (hectares) (IBRD-IFC) Baseline: 0 (2018) Target: 400,000 (2023) Actual: 3,289,065 = 3,284,756 (IBRD) (Jun-2023)²¹¹ + 4,489 (IFC) (2022)²¹² Achieved (surpassed) [IBRD & IFC inputs]	(b) Instruments to meet the Nationally Determined Contributions targets developed and implemented (number) Baseline: 0 (2018) Target: 4 (2025) Actual: 3 (June-2023)²¹³ Mostly Achieved [IBRD input]	

Restructuring Papers Nos. Nos. RES43839 February 2022 and RES52894 February 2023; GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023; and GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project (P172079), Project Appraisal Document, Annex 5.

²⁰⁸ IFC Country Team calculated the GHG emissions avoided or reduced with the support of the Climate Business Department team. It includes the cumulative GHG emissions avoided or reduced by IFC-supported renewable energy projects from 2019 to the last measurement year.

²⁰⁹ Sources: Energy Efficiency in Public Facilities Project (PRESEMEH) (P149872), ISR December 2022 & Restructuring Papers Nos. RES30194 December 2020 and RES46856 October 2021

²¹⁰ Sources: GEF Sustainable Productive Landscapes Project (TPS, P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023. The TPS indicator contributing to this CPF indicator was eliminated in the 2023 restructuring to avoid duplication, but it is largely captured by the first intermediate indicator of Component 1.

²¹¹ Sources: GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023; Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 & Restructuring Paper Nos. RES43839 February 2022 and RES52894 February 2023.

²¹² Difference between the number of hectares owned by IFC forestry clients that are Forest Stewardship Council (FSC) certified as of 2022 and the same number as of 2018. Source: AMRs.

²¹³ Includes: (i) the Sustainable Taxonomy; (ii) Mexico's Emissions Trading System (ETS); and the (iii) the Emissions Reductions Program supported with the BioCarbon Fund Initiative for Sustainable Forest Landscapes (ISFL) grants. Sources: (i) Secretariat of Finance and Public Credit (SHCP) (2023), Sustainable Taxonomy, available at: https://www.gob.mx/cms/uploads/attachment/file/809773/Taxonom_a_Sostenible_de_M_xico_.pdf; (ii) Environmental Sustainability and Urban Resilience DPF (P174000), Report No. ICR5797; and (iii) Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023.

CPF objective indicators	Supplementary progress indicators	World Bank program
(7.3) Additional beneficiaries implementing sustainable management schemes in rural areas (number) Baseline: 0 (2018) Target: 336,000 (2023) Actual: 190,356 (Jun-2023) = 178,495 IBRD/PROFOEM (March-2023)²¹⁴ + 11,857 IBRD/TPS (Jun-2023)²¹⁵ On track [IBRD input] - Of which (number) Women Baseline: 0 (2018) Target: 67,200 (2023) Actual: 34,998 (Jun-2023) = 30,578 IBRD/PROFOEM (Mar-2023)²¹⁶ + 4,410 IBRD/TPS (Jun-2023)²¹⁷ On track [IBRD input] Indigenous Peoples Baseline: 0 (2018) Target: 110,900 (2023) Actual: 55,039 –March-2023 - IBRD/PROFOEM	(c) Additional interinstitutional coordination mechanisms in place to improve landscape level governance Baseline: 0 (2018) Target: 8 (2023) Actual: 5 (March-2023)²¹⁹ Mostly Achieved [IBRD input]	– IFC Energy consumption reduction: CIE Auto (40252) – IFC Climate Finance: Sabadell Mex (40408), BBVA Leasing Mexico S.A (38504), FHIPO (44850), Altum (44744/46654/47715), Nazca (43747/46196), Carbon Credit Fund (CCF) Pilot (45927), Global Supply Chain Finance Program (GSCF) Citi I (48465) – MIGA HSBC Capital Optimization Project Mexico (15150) <u>Closed</u> – IBRD GEF Sustainable Energy Technologies Development for Climate Change (P145618) – IBRD Environmental Sustainability and Urban Resilience DPF (P174000) <u>Dropped</u> – IBRD REDD+ Emission Reductions Program (P162749) – IBRD Development of Carbon Capture, Utilization, and Storage (P161311) Knowledge services <u>Pipeline</u> – IFC advisory and upstream services in

²¹⁴ The actual reflects the additional direct beneficiaries calculated as the actual value as of March 2023 (172,668) minus the beneficiaries at the baseline year in 2018 (67,467). It does not include indirect beneficiaries. Sources: Strengthening Entrepreneurship in Productive Forest Landscapes (P164661), ISR May 2023 and Aide Memoire May 2022 and March 2023.

²¹⁵ Source: GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023.

²¹⁶ The actual reflects the additional direct women beneficiaries calculated as the actual value as of March 2023 (47,460) minus the beneficiaries at the baseline year in 2018 (16,882). It does not include indirect beneficiaries. Sources: P164661 Idem.

²¹⁷ Source: GEF Sustainable Productive Landscapes Project (P159835), ISR June 2023 & Restructuring Paper No. RES53706 March 2023.

²¹⁹ The TPS indicator contributing to this CPF indicator was eliminated in the 2023 restructuring to avoid duplication, but it is largely captured by the first intermediate indicator of Component 1. Sources: P159835 and P164661 Idem.

CPF objective indicators	Supplementary progress indicators	World Bank program
only) ²¹⁸ On track [IBRD input]		decarbonization, green buildings, clean energy, and circular economy <u>Ongoing</u>
(7.4) Power generated from renewable energy sources supported by World Bank projects (wind, solar) (GWh) Baseline: 0 (2018) Target: 1,510 GWh (2025) Actual: 3,252 GWh (2022) ²²⁰ Achieved (surpassed) [IFC input]	(d) IFC climate finance supported transactions to banking and non-banking financial institutions (number) ²²¹ Baseline: 0 (2018) Target: 6 (2025) Actual: 10 (Jun-2023) ²²² Achieved (surpassed) [IFC input]	– IBRD ASA Climate Change Adaptation and Mitigation Policies (P177455) – IFC Green Buildings: LAC Green Buildings (604818), Greening Real Estate Investment Pathways LAC Rollout (608141) – IFC Strategic Business Solutions: TechEmerge Sustainable Cooling Cities LAC (604508) – IFC-IBRD Climate Finance: 30x30 Program (606410) <u>Closed</u> – IBRD ASA Market Instruments for Climate Change Mitigation in Mexico (P164508) – IBRD ASA Implementation pathways toward climate change goals (P171917) – IBRD ASA Analytical support to Mexico’s Climate Change Agenda (P174413) – IBRD ASA Indigenous Peoples and Afro-descendants Inclusion and Resilience (P178291) – IBRD ASA Capacity Building for Carbon Capture, Utilization and Storage in Mexico (P161360)

²¹⁸ The actual reflects the additional indigenous people beneficiaries calculated as the actual value as of March 2023 (86,155) minus the beneficiaries at the baseline year in 2018 (31,166). It does not include indirect beneficiaries. Sources: P164661 Idem.

²²⁰ Reports the renewable energy generated in GWh in the last measurement year of the projects supported by IFC. Source DOTS.

²²¹ Includes fintechs and funds.

²²² Includes investments committed from January 2019 to date, counted by project ID, in banks, NBFI, funds, and fintechs with climate flag, an OA climate amount, and/or that address climate related activities. Source: IFC Dashboard, IFC Program and Pipeline Report, and projects’ Board Papers.

Annex 4. Macroeconomic Developments

Economic context

1. **Mexico's economy is anchored by a stable and prudent macroeconomic framework, as well as a strong and diverse manufacturing base connected to global value chains.** However, Mexico's potential growth remains subdued on account of low productivity growth and tamed investment.²²³ Improving the business environment, facilitating access to finance, addressing insecurity, closing infrastructure gaps – including the provision of public services—, and strengthening the competition framework are vital for enhancing competitiveness and capitalizing on nearshoring opportunities.
2. **President Andrés Manuel López Obrador came to power in December 2018 with the promise of tackling corruption and crime, strengthening social programs, boosting public investment, and supporting state companies.** The government introduced new pensions and social transfers and increased the minimum wage (which had been constant in real terms for more than ten years). Public investment has been channeled to flagship projects (the Tren Maya, a new airport in Mexico City, the Dos Bocas Refinery, and the Tehuantepec Isthmus Corridor).²²⁴ Most of these projects have not been completed to date. Government support for the public oil company Petróleos Mexicanos (PEMEX) has increased substantially. PEMEX's finances remain weak, and its bonds continue with a speculative grade, with recent downgrades.
3. **Following the contraction induced by the pandemic in 2020, Mexico's economy has bounced back on the back of the United States' recovery, a robust domestic demand, and strong foreign direct investment propelled by nearshoring.** This highlights Mexico's economic resilience, given limited fiscal support during the pandemic and subsequent inflation, tightened credit conditions, and regulatory uncertainty (notably in the energy sector).

Recent developments

4. **Mexico's economy continues to show resilience after the pandemic-driven recession.** In 2020, Mexico experienced an economic contraction of 8.6 percent. Gross Domestic Product (GDP) then grew by 5.7 percent in 2021 and 3.9 percent in 2022. During 2023, GDP continued its dynamism with a 3.2 percent growth. Construction, services, and manufacturing contributed to growth. Private investment, that stagnated during the 2015-2022, has seen an important rise since the end of 2022, on the back of foreign direct investment (FDI), nearshoring, a strong peso, the boost in private construction, and public infrastructure spending in flagship projects.²²⁵ As consequence of these developments, the labor market has remained robust, with 59.1 million people employed as of December 2023, representing 3.4 million net jobs created since March 2020. Unemployment rate continues to decrease, reaching 2.8 percent seasonally adjusted in December 2023 (3.3 percent in March 2020).
5. **As in many countries, high and persistent inflation was a pressing issue during 2021-2022. It has decreased significantly in 2023, driven by energy, remarkably natural and liquified gas.** The decline in

²²³ Investment has been subdued for more than a decade. For example, by the end of 2022, gross fixed capital formation had a similar level that in 2012.

²²⁴ The Tren Maya (sometimes also Mayan Train or Maya Train) is a 948 mile intercity railway in Mexico that will traverse the Yucatán Peninsula; construction began in June 2020 and is scheduled to be completed by 2024. Funding for the project will come primarily from a tourism tax as well as funds diverted from other programs, including the Mexican Grand Prix. The Dos Bocas refinery is a 340,000 barrels per day (bpd) oil refinery under-construction in Tabasco, Mexico and it will be the biggest refinery in Mexico. The state-owned oil and gas company Petróleos Mexicanos (PEMEX) will be the owner and operator of the refinery. The Tehuantepec Isthmus Corridor is Mexico's 300km rail corridor connecting two ports in the Pacific and Gulf coasts. It represents the shortest distance between the Pacific and Atlantic Oceans in the country. In addition to enhancing the economic and social infrastructure around the corridor, it is planned to consolidate up to 10 industrial parks along it.

²²⁵ Oxford Economics, "Mexico Nearshoring," June 2023.

inflation was supported by falling energy and non-core food prices, and the appreciation of the peso. Mexico's central bank has kept its policy rate at 11.25 percent since March 2023, which has helped maintain inflation expectations within its target band. Inflation expectations remain anchored within the target band, a sign of monetary policy credibility.

6. **The overall fiscal deficit rose from 2.3 percent of GDP in 2019 to a projected 5.4 percent in 2024, the highest in 24 years.** The widening of the fiscal deficit in 2024 is primarily driven by the push for landmark public investment projects, the financial support to PEMEX, and higher financial costs, offsetting higher revenues from economic recovery. Accordingly, net debt increased from 44.5 percent in 2019 to an expected 49.0 percent of GDP in 2024.

7. **The current account deficit (CAD) has narrowed to 0.3 percent of GDP in 2023 compared to 1.2 percent in 2022, driven by strong remittances and improvement in the terms of trade.** During 2023, exports increased 30 percent y-o-y, while imports expanded 0.1 percent. Mexico's foreign direct investment (FDI) remained within historical levels, reaching 1.7 percent during 2023. Mexico is expected to benefit from nearshoring opportunities, given its proximity to the U.S. market and the USMCA. Remittances amounted to 3.5 percent of GDP during the same period. International reserves stood at US\$ 212 billion at the end of 2023, including International Monetary Fund (IMF) Special Drawing Rights (SDR) allocation. Mexico has also access to a US\$35 billion IMF Flexible Credit Line, approved in November 2023 for two years, which provides an additional buffer against external shocks.

8. **Mexico's solid macroeconomic framework translates into low perceived risk as the sovereign's credit risk remains one to two notches above investment grade, depending on the credit rating agency.** In July 2022, Moody's downgraded Mexico's credit rating from Baa1 to Baa2, two notches above investment grade, citing weak economic and fiscal outlook. Standard & Poor's has maintained its score two notches above investment grade, raising its outlook from negative to stable. It cites a prudent macroeconomic policy framework, robust external finances, and stable projected public debt-to-GDP. PEMEX (the world's most indebted oil company) received a downgrade from Fitch in July 2023²²⁶ and a downgrade from Moody's in February 2024, and continues to drag the overall fiscal balance. PEMEX's financial issues have driven Mexico's sovereign spreads above other emerging markets with similar credit ratings.²²⁷

Outlook and Risks

9. **After years of outperforming potential growth and in line with the slowdown in domestic demand and the U.S. economy, Mexico is projected to moderate its dynamism by growing 2.3 percent in 2024 and 2.1 percent in 2025.** Growth will primarily be driven by the services, manufacturing, and construction sectors. This moderation in growth is attributed to aggregate demand, which is anticipated to begin easing in 2024 despite strong government spending and investment efforts. As investment projects linked to nearshoring and significant public initiatives are finalized, coupled with fiscal consolidation measures, Mexico is anticipated to return to its potential growth rate of 2 percent. Inflation is expected to reach within the target range in the first half of 2024.

10. **Mexico's macroeconomic risks are balanced, with a positive economic outlook driven by declining inflation and growing investment due to nearshoring..** The leading risk for Mexico is a worse-than-expected economic performance in the U.S. or tighter-than-anticipated monetary policy that could

²²⁶ The sovereign rating remains investment grade, while PEMEX continues with a non-investment grade from most agencies.

²²⁷ Mexico's Emerging Markets Bond Index Global (EMBIG) spreads are above peers such as Colombia and Brazil, while on risk measures that exclude PEMEX (e.g., Credit Default Swap CDS 5Y), Mexico's exhibits lower risk than the same peers.

affect Mexico's exports, FDI, and remittances. The major fiscal threats emerge from spending pressures arising from pensions and social programs and the continued support of PEMEX that, in absence of revenue-enhancing measures, may lead to reduced spending on education and infrastructure in the medium term. Upcoming elections may create short-term policy uncertainty, mitigated by solid trade and investment links. El Niño could affect agricultural production and increase international commodity prices. Improvements in business climate, strategic investments in human capital and infrastructure, and policy stability are crucial for attracting FDI.

11. **Mexico's solid macroeconomic framework, independent central bank, and flexible exchange rate regime remain the first defense against external shocks.** High international reserves further support this resilience. The Central Bank's well-established credibility has anchored medium-term inflation expectations, while the financial sector remains well-capitalized and liquid. Fiscal credibility is underpinned by Mexico's strong track record of responsible fiscal policy. The increased flow of nearshoring investments and the impact of the Inflation Reduction Act could add an additional boost to the economy, however critical public investments and reforms could accelerate this process.

Table 4.1 Macroeconomic summary

	2020	2021	2022	2023e	2024f	2025f	2026f
Annual percentage change, unless otherwise indicated							
National Accounts							
GDP at constant prices (%)	-8.6	5.7	3.9	3.2	2.3	2.1	2.0
Consumption	-9.3	6.8	5.5	3.0	2.0	1.7	1.8
Investment	-17.3	9.7	7.7	18.6	6.9	5.8	4.6
Exports of goods and services	-7.0	7.2	8.7	-6.8	2.4	3.8	4.3
Imports of goods and services	-12.0	15.0	8.3	4.7	4.2	4.7	5.0
<i>Sectoral contribution to growth</i>							
Agriculture (ppts)	0.0	0.1	0.1	0.1	0.1	0.1	0.1
Industry (ppts)	-2.9	2.1	1.7	1.1	0.8	0.7	0.7
Services (ppts)	-5.0	3.0	1.9	1.9	1.3	1.2	1.1
Inflation							
GDP deflator	4.8	4.5	6.4	4.5	4.3	3.9	3.6
Consumer prices (average)	3.4	5.7	7.9	5.5	4.1	3.5	3.5
Selected Monetary Accounts							
Banks' credit to the government (1)	-53.2	63.1	2.4	29.8	..	..	..
Banks' credit to private sector (1)	-0.8	3.5	12.4	..	..	..	..
Broad money (M2)	11.3	10.0	9.7	7.2	7.1	7.7	6.7

External sector							
Exports fob	-11.7	20.6	17.2	3.0	7.7	4.6	2.7
Imports fob	-16.7	32.2	20.0	0.1	7.0	4.8	3.5
Terms of trade	-0.2	-1.8	-2.3	15.5	2.5	0.5	0.0
<i>Percent of GDP, unless otherwise indicated</i>							
Current account balance (incl. grants)	2.4	-0.3	-1.2	-0.3	-0.4	-0.6	-0.8
Foreign Direct Investment	2.4	2.6	1.5	1.7	1.9	2.1	2.2
Debt							
Public debt (external and domestic) (2)	50.2	49.2	47.8	46.8	48.8	49.4	49.7
External debt	18.9	17.5	14.6	11.7	11.3	11.6	12.0
Debt service	8.3	9.1	11.3	11.5	11.6	10.3	10.2
Fiscal Accounts							
Total revenue and grants	22.2	22.4	22.4	22.2	21.5	21.1	21.0
Total expenditure and net lending	26.0	26.2	26.7	26.4	26.8	24.2	23.8
Overall fiscal balance (with grants)	-3.8	-3.8	-4.3	-4.3	-5.4	-3.0	-2.8
Memorandum items							
GDP per capita (%)	-9.3	5.1	3.3	2.5	1.6	1.4	1.3
Gross reserves (US\$ millions, EOP)	195667.2	202399.2	199094.2	219134.5	..	..	..
In months of next year's imports	4.2	3.6	3.5	3.6	..	..	..
Nominal GDP (Millions of local currency)	24081765.8	26619086.0	29452832.1	31768333.8	33896462.7	35958011.6	37997550.0
Nominal GDP (Millions of US\$)	1120832.4	1313069.7	1463323.9	1791396.2	1936940.7	1997667.3	1999871.1

Source: INEGI, Banxico, MoF, WB Staff

Notes: (1) Corresponds to credit from domestic banks
(2) Net public debt

Annex 5. Program Implementation

Program and Portfolio Performance

1. **World Bank lending to Mexico has increased.** As of December 2023, the World Bank active portfolio includes US\$1.68 billion from the International Bank for Reconstruction and Development (IBRD), US\$2.4 billion committed portfolio from the International Finance Corporation (IFC), and US\$536 million from the Multilateral Investment Guarantee Agency (MIGA). Under the current CPF, the total IBRD lending approved sums up to US\$4.3 billion (US\$1.1 billion average per year) relative to US\$560.0 million in the previous CPF. The International Finance Corporation (IFC) also committed investments increased in the first four years relative to the same period of the previous CPF, from US\$1.62 billion during FY14-17 to US\$1.75 billion during FY20-23. Responding to global context and increased client appetite for countercyclical financing sources, DPF increased to US\$3.9 billion compared to US\$0.5 billion under the previous CPF.²²⁸ Over FY20-FY23, four Development Policy Financing (DPF) operations were extended to the Mexican authorities, three directly supporting the COVID-19 crisis response and recovery, including IBRD's first Build Back Better DPF. For FY24, the pipeline for the remaining CPF consists of only one DPF project. In addition, IBRD has an active Bank-executed trust fund portfolio benefiting the country which comprises 34 trust funds for a total net commitment of US\$71.1 million.

2. **IBRD portfolio has moved from an average of sixteen projects during the previous CPF to ten projects during the current CPF, with a gradual reduction of investment project financing (IPF).** IPF was reduced from 11 projects in 2020 to 7 in 2023. The active IBRD portfolio as of December 2023, comprises five IBRD loans (US\$1.6 billion), complemented by two Global Environment Facility (GEF) projects, and one recipient executed trust-funded project. Since the CPF was discussed by the Board, seven IBRD projects and one GEF stand-alone project have been approved. During this same period, ten projects closed, four operations were partially cancelled, four were prepared but dropped at later stages of preparation, and two were not signed resulting in withdrawn loan offers (Table 5.2).

Table 5.1. Mexico – IBRD Active Portfolio, including Recipient Executed Trust Funds

#	Project Id	Project Name	Prod. Line	Inst. Type	Approval Date	Closing Date	DO	IP	Comm. Amt. (US\$M)	Undisb. Balance (%)
Sustainable Development									217.6	44.9%
1	P159835	GEF Sustainable Productive Landscapes Project	GE	IPF	30-Mar-2018	28-Feb-2025	MS	MS	21.9	76.8%
2	P151604	Dedicated Grant Mechanism for IP and LC	RE	IPF	15-Sep-2017	31-Dec-2023	S	S	6.0	9.5%
3	P164661	Strengthening Entrepreneurship in Productive Forest Landscapes	PE	IPF	29-Jan-2018	30-Sep-2024	S	MS	56.0	0.0%
4	P172079	GEF Connecting Watershed Health with Sustainable Livestock and Agroforestry Production Project	GE	IPF	08-Jul-2021	31-Jul-2026	S	S	13.8	46.7%
5	P164389	Water Security and Resilience for the Valley of Mexico (PROSEGHIR)	PE	IPF	27-Feb-2020	31-Dec-2025	MS	MS	120.0	91.6%
Equitable, Growth, Finance, and Institutions									1,465.0	66.3%
6	P169959	Modernization of Public Financial Management Systems in Mexico	PE	IPF	06-Feb-2020	30-Apr-2025	MU	MU	65.0	98.9%
7	P178224	Inclusive and Sustainable Economic Growth DPF	PE	DPF	31-May-2022	31-Dec-2023			700.0	0.0%
8	P180496	Promoting Women's Economic Opportunities and Sustainable Productivity Growth DPF	PE	DPF	23-Jun-2023	31-Dec-2024			700.0	100.0%
Total									1,682.6	55.6%

Source: Standard Reports as of December 15, 2023

Notes: PE = IBRD Lending, GE=Global Environment Facility Trust Fund, RE = Recipient Executed Trust Fund, IPF = Investment Project Financing, DPF = Development Policy Financing, S = Satisfactory, MS = Moderately Satisfactory, MU = Moderately Unsatisfactory

²²⁸ World Bank, Standard Reports, June 2023.

Table 5.2. Details on cancellations during the CPF period.

Sector	Project ID	Project Name	Full/Partial Cancellation	Cancellation at Closing	Dropped at preparation	Cancelled after Approval	Original Amount (US\$M)	Cancelled (US\$ M)	Total Disbursed (%) (As of 09/23)	Reasons for Cancellation/ Dropped/Withdrawal
SD	P160570	Grain Storage and Information for Agricultural Competitiveness Project (ASERCA)	✓				120	115.6	4%	Budget limitations and recalibration of farm programs to focus support on small scale producers as key factors.
		ASERCA Additional Financing			✓		200*	---	---	
	P153338	Expanding Rural Finance Project	✓				400	79.4	80%	(a) Use of <i>Financiera Nacional de Desarrollo</i> (FND)'s own funds; (b) Need to create space to borrow for the fiscal response to the pandemic; (c) reorganization of the FND focusing on direct lending.
		Expanding Rural Finance Project Additional Financing				✓	400	400	0%	
	P149872	Energy Efficiency in Public Facilities Project (PRESEMEH)	✓				100	56.7	74%	Government's request to free-up IBRD resources at the onset of the COVID-19 pandemic (Dec 2020).
		PRESEMEH Additional Financing					50	43.3	22%	
	P173570	Social Housing Support Project			✓		150*	---	---	Dropped before Negotiations due to changes in government priorities.
	P172067	FONADIN 2.0			✓		500*	---	---	Dropped after Concept Review due to changes in government priorities.
	P176771	Sustainable Urban Development Project			✓		150*	---	---	Dropped after Concept Review due to changes in government priorities.
	P172647	National Digital Identity System to Facilitate Inclusion				✓	225	225	0%	The loan did not get signed due to: (i) changes in key counterparts; and (ii) lack of budget for implementation.
EFI	P169959	Modernization of Public Financial Management Systems in Mexico Project	✓				110	45	0.7%	Government's decision to finance some project activities with its own resources.

Table 5.3. IBRD Portfolio Summary.

IBRD Approvals FY20-23 (US\$ million)				IBRD Closings FY20-23 (No. of projects)				
FY	IPF	DPF	Total	FY	IPF	DPF	P4R	Total
2020	230	1,000	1,230	2020	1	1	0	2
2021	225	1,500	1,725	2021	3	1	1	5
2022	0	700	700	2022	1	2	0	3
2023	0	700	700	2023	0	0	0	0
Total	455	3,900	4,355	Total	5	4	1	10

Source: Standard Reports

3. **Restructurings have been a key component of portfolio management, including:** (i) partial cancellations (e.g., US\$100 million of the Energy Efficiency in Public Facilities Project and US\$45 million of the Modernization of Public Financial Management Systems in Mexico Project); (ii) extensions of closing dates (including in half of the total restructurings to date – eleven extensions from FY20-23); (iii) adjustment to the Results Framework as well as changes to components and costs, are some of the proactive actions taken to address implementation bottlenecks.

Table 5.4. IBRD portfolio trends, FY19-23, including Recipient Executed Trust Funds

FY	FY19	FY20	FY21	FY22	FY23
PORTFOLIO AND DISBURSEMENTS					
Number of Projects Approved	2	3	3	2	1
Financing Approved (US\$M)	900.0	1230.0	1725.0	713.8	700.0
Average Financing per Project (US\$M)	450.0	410.0	575.0	356.9	700.0
Number of Active Projects	11	12	10	9	9
Net Commitments (US\$M)	2,481.5	3,091.5	2,194.7	1,308.4	1,738.4
Disbursement in FY (US\$ M) (Active Portfolio)	394.1	41.6	48.0	17.9	737.5
Total Undisbursed Balance (US\$M)	1,448.1	2014.4	2039.1	1228.6	919.4
Disbursement Ratio (% , IPF only)	43.3	4.5	10.2	4.4	7.4
PORTFOLIO RISKINESS					
Problem Projects (#)	1	1	1	1	1
Problem Projects (%)	9.1	8.3	10.0	11.1	11.1
Potential Problem Project #	0	0	0	0	0
Projects at Risk (#)	1	1	1	1	1
Projects at Risk (%)	9.1	8.3	10.0	11.1	11.1
Commitments at Risk (US\$M)	55.0	21.9	21.9	21.9	65.0
Commitments at Risk (%)	2.2	0.7	1.0	1.7	3.7
12 month rolling Proactivity (%)	66.7	100.0	0.0	0.0	100.0

Source. World Bank Business Intelligence Reporting, Standard Reports, and Analysis for Office.

4. **A strong analytical program helped maintain the dialogue and explore entry-points for further collaboration with the current and the next administration.** Formal Advisory Services and Analytics (ASA), such as the Female Labor Force Participation Report,²²⁹ the Pensions Policy Support Program, and the Productivity Report,²³⁰ helped to set up the agenda, informing reform options and lending, such as in the “Promoting Women Economic Opportunities and Sustainable Productivity Growth DPF” operation. Just-in-time support, such as for the education, health, social protection and labor sectors, helped maintain the dialogue and pave the ground for future engagements (e.g., an assessment of learning lost during school closures). IBRD has become a key partner in assisting the authorities implement a comprehensive early childhood education and development strategy; IBRD’s analytical support has been welcomed by the Secretariat of Finance and Public Credit (SHCP) and health sector agencies to assess the sustainability and resilience of health financing in the face of shocks and population ageing; while Mexico has turned repeatedly to IBRD’s Social Protection and Jobs practice for support on pension reform, modernizing its labor market intermediation services and for support in integrating migrants into the economy. In addition, IBRD’s engagement focused strongly on helping the government advance the climate resilience, forestry, and land use agendas. As a result, in 2020 an innovative “Environmental Sustainability and Urban Resilience DPF” was approved, which addressed development challenges around the increase of the resilience of the most vulnerable municipalities, the gradual reform towards non-deforestation criteria in agriculture support programs, and local air quality provisions to mitigate black carbon. Likewise, this DPF also strongly featured IBRD’s urban engagement. Strong operational engagement in the water sector has been further supported by analytical work laying the foundation for strengthening IBRD’s engagement in the sector at national and subnational levels. Engagements with the SHCP on disaster risk management, e.g., technical assistance to strengthen the risk management strategy related to natural hazard risk at the federal and subnational levels, helped respond to core client demands and laid the foundation for longer-term reforms on the Evolution Roadmap global challenges’ agenda. ASAs also led to demand in trust-funds and other concessional funding.

5. **Reimbursable Advisory Services are a powerful engagement instrument for middle-income countries.** A Reimbursable Advisory Services (RAS) agreement was signed in transport in June 2023 and

²²⁹ World Bank, “Female Labor Force Participation in Mexico,” March 2021.

²³⁰ World Bank, “Productivity Growth in Mexico: Understanding Main Dynamics and Key Drivers,” January 2022.

other RAS engagements were explored in line with sector demand in the education and health sectors but did not materialize.

6. **Given legal challenges for direct lending to the sub-national level and security risks, IBRD relied on ASA to support subnational.** For example, IBRD has supported the municipalities of Tulum and San Cristobal de las Casas in developing their Municipal Climate Action Plans, and in March 2023, launched a technical assistance program (financed by the Climate Investment Facility) to develop a city climate action plan for the metropolitan area of Oaxaca, including all the 25 municipalities, located in one of the country's poorest states in the south.

7. **Similarly, advisory programs helped to keep a strong involvement from public and private institutions in priority areas such as climate.** Under the 30x30 Zero project in Mexico, for instance, IFC/IBRD collaborated with Mexico's Central Bank (Banxico), originally through the Sustainable Finance Committee, part of the Financial Stability Board, to examine the different aspects of "greening the financial sector": (i) Green Taxonomy, (ii) reporting and disclosure, (iii) social and climate risk analysis, and (iv) ecoefficiency and decarbonization. A gender agenda with financial institutions and regulators is being carried out jointly by IFC and IBRD to address policy and market challenges to untap and scale new opportunities. IFC participated in the four working groups and supported the green Taxonomy, which became the Sustainable Taxonomy. Also, through the Latin America and the Caribbean (LAC) Green Buildings program, IFC has supported the public and private sectors' green agenda, reaching 4.9 million square meters certified with the Excellence in Design for Greater Efficiencies (EDGE) certificate, and through the TechEmerge Sustainable Cooling Cities program, the successful closure of 11 pilots by FY23 where participants were able to decide on potential scale-up of innovate cooling solutions either at adopter or at broader market. This EDGE achievement positions Mexico as the third country globally with the largest certified floor space. IBRD and IFC are also working together on how to harness nearshoring investments in Mexico for which a close coordination with the government would be key. Teams are working on a strategy to leverage this opportunity to address development gaps (notably declining productivity, high informality, asymmetric integration into global value chains, and low technological upgrade by local firms), while promoting a sustainable and inclusive approach of these investments and public-private coordination to provide the enabling factors. MIGA is also planning to join those strategic conversation as one World Bank to explore opportunities to deploy MIGA de-risking solutions to enhance bankability of projects, facilitate public-private investments, and the mobilization of foreign capital in Mexico. More specifically, the close collaboration with IBRD and IFC proved crucial in the development of the Federal Commission Electricity (CFE) project, where MIGA provided non-honoring guarantees to a state-owned utility, given rapidly evolving conditions in the energy sector."

8. **Portfolio management has incorporated fiduciary considerations.** On procurement, tailored project procurement strategies have been designed in line with each project's context, risks, regulations, and complexities, allowing for flexibility and better execution of Procurement Plans, but also to overcome challenges. These include misalignment of the procurement processes to optimize the use of resources in contracts, and lack of government staff with experience conducting procurement processes financed with IBRD resources. Mitigation measures have included additional support to implementing entities, including in the use of innovative methods such as the use of rated criteria, and harmonization of procurement documents with the most recent country's regulations and policies. Performance on financial management continues to be generally satisfactory. Challenges related to budgeting and limited fiscal space for investment operations, including trust funds, remain. IBRD loan proceeds are budgeted only on an annual basis, and grant funds cannot be received directly by federal entities, affecting planning and causing implementation delays. Limited federal budgetary resources have also led to a reduction in the scope of some investment projects. To tackle these challenges, IBRD has continued to promote fiduciary

capacity development for project-implementing entities through the provision of regular training (i.e., on IBRD's systematic tracking of exchanges in procurement, STEP) and workshops (i.e., a fiduciary workshop held in June 2023), and through actively engaging with the organized accounting profession in Mexico in coordination with the Inter-American Development Bank.

9. **Safeguards ratings and environment and social (E&S) standards performance ranged between moderately satisfactory and satisfactory, with no projects closed with pending E&S measures.** IBRD has provided oversight, supervision, follow-up, and capacity-building support, for all IPF projects. One of the innovations of the Environmental and Social Framework (ESF) is the recognition that climate change is affecting the nature and location of IBRD-financed projects. It sets out a vision to support client countries to decarbonize and invest in resilience to help overcome climate change as a fundamental threat to development in our lifetime. Although the requirement for new operations, the Paris Alignment assessment, is distinct from the E&S assessment set out in the ESF, the ESF's standards reinforce the World Bank's ability to ensure financing aligns with the goals of the Paris Agreement.

10. **Complementing IBRD's lending, IFC's committed portfolio in Mexico stands at US\$2.4 billion as of December 2023, helping leverage private sector financing.** As of December 31st, 2023, IFC portfolio included US\$827 million of mobilized resources, making this the fourth largest portfolio regionally and the 13th globally. From FY20 to February 2024, IFC has committed US\$2.3 billion of long-term financing (including US\$900 million of mobilized resources) and US\$706 million of short-term financing in Mexico. The main transactions focused on expanding access to health through low-cost generic medicine, increasing financial inclusion by supporting FinTech, insurance, and non-banking financial institutions, helping job recovery in the tourism sector, promoting digital infrastructure by investing in data centers, and supporting renewable energy and green buildings.

Table 5.5. IFC portfolio trends, FY19-24 (\$1)

IFC	FY19	FY20	FY21	FY22	FY23	FY24 (\$1)*
COMMITMENTS						
Number of projects	10	8	11	10	9	11
IFC own account US\$m	434	332	325	181	129	340
Mobilization US\$m	289	485	45	198	50	121
Total commitments US\$m	723	816	370	379	179	460
PORTFOLIO (committed)						
IFC own account US\$m	1,526	1,608	1,601	1,413	1,337	1,557
Mobilization US\$m	1,157	1,012	1,015	855	826	828
Total committed portfolio US\$m	2,683	2,620	2,616	2,268	2,162	2,385
Total outstanding portfolio US\$m	2,092	2,165	2,036	1,717	1,663	1,710
AIIMM ²³¹ score (annual new commitments, unweighted average)	42	40.5	54.8	56	53	54

Source: IFC reports.

FY24*: Consolidated data as of December, 31st 2023.

11. **MIGA has also supported private sector development through guarantees.** MIGA issued new guarantees for the Tierra Mojada project in FY17, achieving a total private capital mobilization of US\$716 million over a notional guarantee amount of US\$963 million. In December 2020, the guarantee was cancelled due to the successful refinancing of the project's bank debt with capital markets (bond). In 2020 MIGA signed guarantees for US\$675 million to support export-oriented firms under significant liquidity stress due to the COVID-19 crisis, providing liquidity to Bancomext, the government's export credit agency. In April 2023, the guarantee was cancelled due to the full pre-payment of the guaranteed loan. In June 2023, MIGA issued a US\$536 million guarantee to support the repowering and upgrade works of various existing hydropower plants of CFE, Mexico's state-owned integrated electric utility. More recently, MIGA issued capital optimization guarantees of \$1.9 billion to HSBC in October 2023, covering the risk of

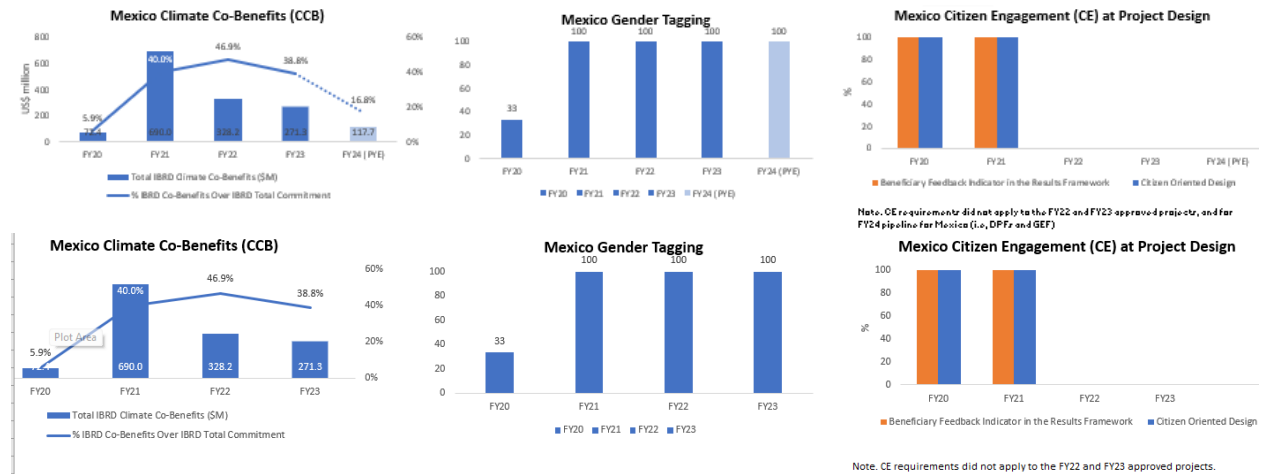
²³¹ Anticipated Impact Measurement and Monitoring.

expropriation of funds for the mandatory reserves that HSBC Mexico holds at the central bank of Mexico. The benefits of the MIGA enabled-capital relief will be directly used by HSBC toward accelerating climate finance sub-projects over a three-year period. As of end-November 2023, MIGA outstanding gross exposure in Mexico stood at US\$2.4 billion, representing MIGA largest exposure in LAC and globally.

Annex 6. Progress Towards Corporate Commitments

1. **Corporate commitments have been mainstreamed across World Bank operations.** Gender, climate co-benefits (CCB), and citizen engagement requirements have been above corporate and regional targets since FY21 (Figure 6.1)

Figure 6.1. Mexico IBRD Corporate Commitments



2. **Gender tagging achieved 100 percent of International Bank for Reconstruction and Development (IBRD) projects, well above the corporate and regional average.** Gender has been mainstreamed in IBRD’s portfolio, including through analytical tools to identify gender gaps, specific measures to address them, and indicators to monitor progress. All projects approved since FY21 have been gender tagged. Since FY22 gender tagging achieved 100 percent, well above corporate and regional averages. Corporate target in FY23 for IBRD is 55 percent of total IBRD commitments. Building on the FY19 Gender Assessment for Mexico,²³² a flagship report on Female Labor Force Participation²³³ provided an in-depth analysis of the main barriers to female labor force participation in Mexico and was well received by the government. The “Women’s Economic Opportunities Development Policy Financing” (P180496), approved by the Board in FY23, supports key government priorities, such as increasing the value proposition of labor market participation for women, expanding income protection for working women and vulnerable workers, and creating safer environments for women, including in public transport.²³⁴ The International Finance Corporation (IFC) efforts on fostering gender equality have been strengthened through innovative programs such as Mexico2Equal (known as “Empresas Mexicanas por la Equidad”), the first Peer Learning Platform in Latin America focused on increasing women’s participation in the workforce in 17 companies from different sectors, and Mexico2Equal Plus (“Empresas Mexicanas por la Inclusión”), a program that convenes 12 companies to advance the inclusion of LGBTI²³⁵ persons and persons with disabilities. Additionally, the Banking on Women advisory program with Citibanamex has strengthened financial inclusion for women-owned small and medium enterprises (SMEs).

3. **The share of Climate Co-Benefits in the portfolio has increased.** IBRD has been working to increase the share of CCB in the portfolio, which includes both climate mitigation and adaptation

²³² World Bank, “Mexico Gender Assessment”, April 2019.

²³³ World Bank, “Female Labor Force Participation in Mexico”, March 2021.

²³⁴ Project P180496.

²³⁵ Lesbian, gay, bisexual, transgender, and intersex.

measures. IBRD's CCB reached 38.8 in FY23, 46.9 percent in FY22, 40.0 percent in FY21, and 5.9 percent in FY20, and CCBs are expected to remain high for the remainder of the Country Partnership Framework, beyond the corporate target of 35.0 percent as per the World Bank Climate Change Action Plan 2021-2025. In parallel, IFC's 60.7 percent of IFC's new projects in FY23 were climate-tagged (an average of 54.5 percent of annual new projects tagged as climate-related since FY20). The Multilateral Investment Guarantee Agency (MIGA)'s project in FY23 was tagged as climate at 100 percent, resulting in an average of 44 percent worth of notional guarantees tagged with climate co-benefits since FY20.

4. **All active IBRD projects comply with citizen engagement guidelines.** Between FY20-23, all approved projects included a beneficiary feedback indicator, focusing on vulnerable populations, indigenous populations, and afro-descendants. Full compliance on reporting on beneficiary feedback indicator was also achieved in FY21-22 and IBRD continues to work with government counterparts to document good practices and to strengthen capacity on citizen engagement. Beyond compliance with corporate targets, there are opportunities for deepening meaningful consultations with civil society and particularly vulnerable groups to go from compliance to higher impact.

5. **There are entry points to maximize private capital mobilization in Mexico, including a strong appetite from development banks.** IBRD successfully engaged with the National Infrastructure Fund (FONADIN) in the administration's early days to leverage a World Bank guarantee to mobilize private capital for infrastructure projects. Although the operation was canceled due to changes in government priorities, the engagement opened the door for a broader policy dialogue with the Secretariat of Finance and Public Credit and some development banks about the scale-up potential of World Bank guarantees in an upper-middle-income country like Mexico.

Annex 7. Mexico Engagement Roadmap

1. **This Performance and Learning Review (PLR) is prepared mid-way through the Country Partnership Framework (CPF) cycle.** The Systematic Country Diagnostic (SCD), published in 2019 identified the most critical constraints to, and opportunities for, reducing poverty and building shared prosperity sustainably in Mexico. Drawing on the SCD findings, the CPF was prepared in 2019, in close coordination with the newly elected government, which assumed office in December 2018 and in parallel to the preparation of the National Development Plan (NDP) 2019-2024. The CPF was discussed by the World Bank Board of Executive Directors in February 2020. The Completion and Learning Review (CLR) of the CPF will be undertaken in FY25 and its findings will be an important input to the preparation of a new CPF.
2. **The new CPF is expected to be prepared at the beginning of FY26.** The next presidential election will be held in June 2024, and a new administration will take office in October 2024. The new NDP 2025-2030 is expected to be prepared in the first semester of 2026, coinciding with the preparation of the new CPF 2026-2030. A streamlined SCD will be developed in FY25, building on available core diagnostic, other relevant Advisory Services and Analytics (ASA), and the 2019 SCD, to inform the new CPF preparation process.

Figure 7.1: Mexico Engagement Roadmap

